

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC., CONSOLIDATED CHASSIS
MANAGEMENT, LLC, CMA CGM S.A., COSCO
SHIPPING LINES CO. LTD., EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982,
HAPAG-LLOYD AG, HMM CO. LTD., MAERSK
A/S, MSC MEDITERRANEAN SHIPPING
COMPANY S.A., OCEAN NETWORK EXPRESS
PTE. LTD., WAN HAI LINES LTD., YANG MING
MARINE TRANSPORT CORP., AND ZIM
INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

**COMPLAINANT'S CONSOLIDATED REPLY TO
RESPONDENTS' AND EVERGREEN'S EXCEPTIONS
TO THE INITIAL DECISION**

W. Stephen Cannon
David D. Golden
Seth D. Greenstein
Allison F. Sheedy
Richard O. Levine
J. Wyatt Fore
Janice Johnson
Osob M. Samantar
Constantine Cannon LLP
1001 Pennsylvania Avenue, NW
Suite 1300N
Washington, DC 20004
(202) 204-3500

Daniel Vitelli
Constantine Cannon LLP
22 Vanderbilt Ave.
9th Floor
New York, NY 10017
(212) 350-2700

April 5, 2022

TABLE OF CONTENTS

I.	INTRODUCTION	1
II.	FACTUAL BACKGROUND.....	3
A.	The Parties.....	3
B.	Chassis in Intermodal Transportation of Transoceanic Container Shipping.....	4
1.	Methods of Chassis Provisioning	5
2.	The Relevant Geographic Areas.....	7
C.	CCM Rules Affecting Interoperability and Chassis Choice	9
D.	Respondent Ocean Carriers’ Contracts Link MH and CH Chassis to the Disadvantage of Motor Carriers and the Shipping Public.	10
1.	Ocean Carriers Contract for Lower CH Prices Based on Higher MH Volumes.	10
2.	Respondents Continue to Contract with POP IEPs Notwithstanding that the POP Has Never Implemented Promised Chassis Choice.	12
3.	Respondents Exit Interoperable Pools.....	12
E.	Harm to Motor Carriers, Shippers, and the Supply Chain	14
1.	Higher MH Chassis Prices.....	14
2.	Loss of Interoperability	14
III.	PROCEDURAL HISTORY.....	15
A.	Preliminary Proceedings and Discovery	15
B.	The Initial Decision.....	16
1.	The Initial Decision Found that the Commission Has Jurisdiction over Respondents’ Practices.	16
2.	The Initial Decision Determined that Nonparty IEPs are Not Necessary or Indispensable to the Proceeding.....	18
3.	The Initial Decision Found that Respondents’ Conduct Restraining MH Chassis Choice is Unreasonable.....	19
IV.	LEGAL STANDARDS	22
V.	ARGUMENT.....	25
A.	The Commission Has Jurisdiction Over All Parties and Claims.	26
B.	The IEPs are Not Indispensable to This Action.	30
C.	Respondents’ Practices that Restrict MH Chassis Choice are Unreasonable.	34
1.	The Initial Decision Correctly Found that the CCMP Operations Manual Rules Restrict MH Chassis Choice.	34
2.	The Initial Decision Correctly Determined that Ocean Carriers’ Contracts Reduce MH Price Competition in Exchange for Financial Benefits for Ocean Carriers.	35

3.	The Initial Decision Properly Found that Respondents Unreasonably Contract with IEPs for POP Chassis Notwithstanding the POP’s Failure to Implement MH Chassis Choice.	36
4.	The Initial Decision Correctly Found Actual and Likely Harms from Restrictions that Limit the Exercise of MH Chassis Choice.....	38
5.	Respondents Have Not Met Their Burden of Proffering a Worthy Objective.	43
D.	Judge Wirth Correctly Held that Evergreen’s Business Model Does Not Make Its Restrictions of MH Chassis Choice Any Less Unreasonable.....	46
E.	Respondents Do Not Contest that IMCC Meets the Remaining Requirements.....	47
F.	IMCC Is Entitled to Relief from the Illegal Practices.....	48
VI.	CONCLUSION.....	50

TABLE OF AUTHORITIES

Cases

<i>"50 Mile Container Rules" Implementation by Ocean Common Carriers Serving U.S. Atl. & Gulf Coast Ports, 24 S.R.R. 411 (FMC 1987)</i>	18, 32, 49
<i>All Marine Moorings, Inc. v. ITO Corp. of Baltimore, Dkt. No. 94-10, 1995 FMC LEXIS 22 (ALJ Oct. 6, 1995), aff'd 1996 FMC LEXIS 68 (FMC 1996)</i>	24, 40, 43
<i>Am. Export-Isbrandtsen Lines, Inc. v. FMC, 389 F.2d 962 (D.C. Cir. 1968)</i>	28
<i>Am. Export-Isbrandtsen Lines, Inc. v FMC, 444 F.2d 824 (D.C. Cir. 1970)</i>	28
<i>Anderson v. Liberty Lobby, Inc., 477 U.S. 242 (1986)</i>	23
<i>Aspen Skiing Co. v. Aspen Highlands Skiing Corp., 472 U.S. 585 (1985)</i>	39
<i>Baltic Auto Shipping Inc. v. Hitroniv & Empire United Lines, Dkt. No. 14-16, Initial Decision (ALJ Sept. 15, 2015)</i>	23
<i>California Stevedore & Ballast Co. v. Stockton Port Dist., 7 F.M.C. 75 (FMC 1962)</i>	<i>passim</i>
<i>Camp v. Pitts, 411 U.S. 138 (1973)</i>	49
<i>Ceres Marine Terminals Inc. v. Maryland Port Admin., 29 S.R.R. 356 (FMC 2001)</i>	37
<i>Crossroads Grassroots Pol'ys Strategies v. Fed. Election Comm'n, 788 F.3d 312 (D.C. Cir. 2015)</i>	34
<i>Distrib. Servs., Ltd. v. Transpacific Freight Conf. of Japan, 24 S.R.R. 714 (FMC 1988)</i>	<i>passim</i>
<i>Dukart v. Ocean Star Int'l, 2 F.M.C. 2d 118 (ALJ 2020)</i>	26

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

<i>EuroUSA Shipping Inc., Tober Group, Inc. & Container Innovations, Inc. - Possible Violations of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. § 515.27, Dkt. 06-06, Order on Appeal (FMC Dec. 18, 2008)</i>	22, 23
<i>FTC v. Indiana Fed’n of Dentists,</i> 476 U.S. 447 (1986).....	42, 43
<i>Fujitsu Ltd. v. Fed. Express Corp.,</i> 247 F.3d 423 (2d Cir. 2001).....	23
<i>Gibson v. Cnty. of Washoe, Nev.,</i> 290 F.3d 1175 (9th Cir. 2002)	23
<i>Hanover Shoe Co. v. United Shoe Mach. Corp.,</i> 392 U.S. 481 (1968).....	38
<i>Hansen v. United States,</i> 7 F.3d 137 (9th Cir. 1993)	23
<i>In re Hapag-Lloyd A.G. & Hapag-Lloyd (America) LLC,</i> Dkt. No. 21-09, Initial Decision (ALJ Apr. 22, 2022).....	47
<i>Holt Cargo Sys., Inc. v. Delaware River Port Auth.,</i> Dkt. No. 96-13, 2000 WL 246442 (FMC Feb. 9, 2000).....	28
<i>Hood ex rel. Mississippi v. City of Memphis,</i> 570 F.3d 625 (5th Cir. 2009)	30
<i>Int’l Ass’n of NVOCCs v. Atl. Container Line,</i> Dkt. No. 81-5, 1990 WL 427461 (FMC Feb. 5, 1990).....	26
<i>Investigation of Free Time Practices - Port of San Diego,</i> 7 S.R.R. 35 (FMC 2015).....	43
<i>J.M Altieri v. Puerto Rico Ports. Auth.,</i> 7 F.M.C. 417 (1962)	27
<i>In re Marcella Shipping Co. Ltd.,</i> 23 S.R.R. 857 (ALJ 1986)	48
<i>Maher Terminals v. The Port Auth. of New York & New Jersey,</i> 34. S.R.R. 35 (FMC 2015).....	43, 46
<i>Marine Report Servs. of Maryland v. Ports Am. Chesapeake, LLC,</i> Dkt. 11-11, 2013 WL 9808672 (ALJ Jan. 10, 2013).....	42
<i>Matsushita Elec. Indus. Co. v. Zenith Radio Corp.,</i> 475 U.S. 574 (1986).....	23

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

<i>MAVL Capital et al. v. Marine Transport Logistics & Dmitry Alper</i> , Dkt. No. 16-16, Initial Decision (ALJ Sept. 29, 2021)	48
<i>Mitsui O.S.K. Lines Ltd. v. Glob. Link Logistics, Inc.</i> , Dkt. No. 09-01, 2011 WL 7144008 (FMC Aug. 1, 2011)	26
<i>New York Shipping Ass’n v. FMC</i> , 854 F.2d 1338 (D.C. Cir. 1988)	<i>passim</i>
<i>Norfolk S. Ry. v. James N. Kirby, Pty Ltd.</i> , 543 U.S. 14 (2004)	26
<i>Oltz v. St. Peter’s Cmty. Hosp.</i> , 861 F.2d 1440 (9th Cir. 1988)	42
<i>Perry’s Crane Serv., Inc. v. Port of Houston Auth. of Harris Cnty., Tex.</i> , 16 S.R.R. 1459 (ALJ 1976)	40
<i>Provident Tradesmens Bank & Tr. Co. v. Patterson</i> , 390 U.S. 102 (1968)	31
<i>Reyn’s Pasta Bella, LLC v. Visa USA, Inc.</i> , 442 F.3d 741 (9th Cir. 2006)	4
<i>River Parishes Co. v. Ormet Primary Aluminum Corp.</i> , 28 S.R.R. 751 (FMC 1999)	24, 28, 40, 42
<i>R.O. White & Co. v. Port of Miami Terminal Operating Co.</i> , Dkt. 06-11, Initial Decision (ALJ July 28, 2009)	41, 42
<i>SD3 LLC v. Black & Decker (U.S.), Inc.</i> , 801 F.3d 412 (4th Cir. 2015)	50
<i>Seacon Terminals, Inc. v. Port of Seattle</i> , 26 S.R.R. 886 (FMC 1993)	24
<i>Seal-Land Serv., Inc. v. Gulf of Puerto Rico Lines, Inc.</i> , 21 F.M.C. 1 (FMC 1978)	28, 32
<i>TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.</i> , Dkt. 1966(I), 2022 WL 18068977 (FMC Dec. 29, 2022)	17, 28, 29
<i>Transp. Servs., Inc. v. Coex Coffee Int’l, Inc.</i> , Dkt. 92-38, 1992 WL 366157 (FMC Aug. 3, 1992)	33
<i>In re Travel Agency Comm’n Antitrust Litig.</i> , 583 F.3d 896 (6th Cir. 2009)	38

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

<i>Union Pac. R.R. Co. v. Bhd. of Locomotive Eng'rs and Trainmen Gen. Comm. of Adjustment, Cent. Region,</i> 558 U.S. 67 (2009).....	33
<i>United Logistics (LAX) Inc. - Possible Violations of Sections 10(a)(1) and 10(b)(2)(A),</i> Dkt. 13-01, 2014 WL 5316339 (FMC Feb. 6, 2014).....	22
<i>United States v. Anthem, Inc.,</i> 855 F.3d 345 (D.C. Cir. 2017).....	39
<i>United States v. E.I. du Pont de Nemours & Co.,</i> 351 U.S. 377 (1956).....	43
<i>United States v. Microsoft,</i> 253 F.3d 34 (D.C. Cir. 2001).....	44
<i>In re Vehicle Carrier Servs. Antitrust Litig.,</i> 846 F.3d 71 (3d Cir. 2017).....	32
<i>In re Vehicle Carrier Servs.,</i> 1 F.M.C. 2d 440 (FMC 2019).....	38
<i>Verizon Commc'ns, Inc. v. Law Offs. of Curtis V. Trinko,</i> 540 U.S. 398 (2004).....	39

Statutes

5 U.S.C. § 556(e)	49
46 U.S.C. § 41102(c)	<i>passim</i>
46 U.S.C. § 41301(a)	31
46 U.S.C. §§ 41104(a)(10), 41105(1), 41105(4), 41105(5), 41105(6)	39
Public Law 117-146 § 7(b)(2).....	29

Rules

7 Wright & Miller, <i>Federal Rules of Civil Procedure</i> § 1613 (2019)	32
Fed. R. Civ. P. 19	18
Fed. R. Civ. P. 19(a)(1).....	30
Fed. R. Civ. P. 19(b)	18, 30, 32
Fed. R. Civ. P. 56(a)	22, 23, 25

Regulations

46 C.F.R. §502.204	23
46 C.F.R. § 502.225	49
46 C.F.R. § 502.226	4, 49
46 C.F.R. § 502.227(a)(6).....	22
46 C.F.R. § 502.68	31
46 C.F.R. § 515.27	22
46 C.F.R. § 545.4.....	47
46 C.F.R. § 545.4(b)	47, 48
46 C.F.R. § 545.4(e).....	47
<i>Interpretive Rule on Demurrage and Detention Under the Shipping Act,</i> 85 Fed. Reg. 29,638 (May 18, 2020)	<i>passim</i>

Miscellaneous

Restatement (Second) of Contracts § 178.....	32
--	----

Complainant Intermodal Motor Carriers Conference of the American Trucking Associations (“IMCC”) respectfully opposes Respondents’ and Evergreen’s exceptions to the Initial Decision. Judge Wirth’s Order should be affirmed in full.

I. INTRODUCTION

IMCC alleged in its Complaint that Respondents have adopted regulations and imposed practices that restrict or eliminate competition among intermodal equipment providers (“IEPs”) for chassis in merchant haulage (“MH”) container movements. This conduct has raised the prices for MH chassis and led to the closure of interoperable pools serving both MH and carrier haulage (“CH”) container movements, all to the detriment of motor carriers and the shipping public. The ocean carrier respondents, acting through the Ocean Carrier Equipment Management Association (“OCEMA”) and Consolidated Chassis Management LLC (“CCM”), enacted the misleadingly named “Choice Program” which, rather than facilitating MH chassis choice, actually allows ocean carriers to veto it. Respondent ocean carriers negotiated contracts with IEPs that lowered ocean carriers’ CH rates in exchange for higher MH volume for the IEPs while restricting motor carriers’ choice of IEP for MH movements; and continued to participate in interoperable pools that disallow choice, such as the Pool-of-Pools in Los Angeles/Long Beach.

The consequences of Respondents’ pursuit of their financial gain fall upon motor carriers, shippers, and ultimately the American public who suffer the harms from higher prices, delays, and supply chain inefficiencies. For example, Respondents’ myopic focus on reduced CH chassis pricing has caused regional interoperable CCM pools to collapse, to be replaced by single-provider IEP pools. There is now not a single interoperable pool available in Chicago, America’s most important rail hub. Memphis could be next.

After extensive document discovery and over a dozen depositions of fact and expert witnesses, Complainant and Respondents submitted cross-motions for summary decision. In deciding the parties' cross-motions, Judge Wirth issued a comprehensive Initial Decision ("I.D.") granting in part Complainant's motion and denying in full the Respondents' motions. Basing the I.D. on facts Respondents cannot dispute – the 319 stipulations of fact submitted by all parties and Respondents' own admissions, statements of undisputed facts, and the conclusions of their experts – Judge Wirth determined that Respondents had engaged in unjust and unreasonable conduct in violation of the Shipping Act, as alleged in IMCC's Complaint.

First, Judge Wirth correctly held that the Commission properly exercises subject-matter jurisdiction over the allegations of the Complaint that Respondents, as ocean common carriers and their associations, violated the Shipping Act. Judge Wirth faithfully applied Commission precedent finding jurisdiction over regulated entities who promulgate rules and enter into contract terms violative of the Shipping Act that impose unjustified costs on truckers and the shipping public.

Second, Judge Wirth rejected Respondents' attempt to dismiss the case because IEPs could not be joined as necessary and indispensable parties. As the I.D. explains, the Complaint addresses violations of the Shipping Act by Respondents, through their regulations and their conduct, and complete relief from those violations can be granted against Respondents.

Third, Judge Wirth held that the specific practices of Respondents alleged in the Complaint and summarized above unreasonably restricted chassis choice and competition for MH movements, causing harm in the form of increased prices, delays, and inefficiencies in the intermodal movement of containers. In so doing, Judge Wirth denied IMCC summary decision in part, finding that designation of a preferred or default IEP in CCM Rules or an IEP contract

may not be unreasonable, so long as the rule or contract did not allow the ocean carrier or preferred IEP to veto a motor carrier's choice of chassis provider. Judge Wirth then determined that Respondents' practices were more restrictive than necessary, and that Respondents had not met their burden to demonstrate any countervailing justification or "worthy objective" for their exclusionary conduct. On the basis of these holdings, Judge Wirth determined that Respondents failed to "establish, observe, and enforce just and reasonable regulations and practices," and therefore violated the Shipping Act. 46 U.S.C. §41102(c).

The Initial Decision carefully navigates the complexities of the intermodal supply chain and securely moors its holdings in undisputed facts and adherence to Commission precedents. The Commission should affirm Judge Wirth's detailed and well-reasoned Initial Decision.

II. FACTUAL BACKGROUND

A. The Parties.

IMCC is a conference of the American Trucking Associations. I.D.¹ 14 (citing JSF ¶¶ 1-2). IMCC brings this action on behalf of its members, primarily intermodal motor carriers who are adversely affected by the Respondents' conduct.

All Respondents are Commission-regulated entities. They include eleven ocean common carriers who engage in international maritime commerce to and from ports of the United States and publish tariffs for same. I.D. 14 (citing JSF ¶¶ 25, 42, 58, 72, 87, 102, 117, 132, 148, 162, 176). The remaining two Respondents are OCEMA and CCM. Both organizations have filed agreements with the FMC, conferring "benefits and protections on the signatories, including

¹ In this brief, "I.D." refers to the Initial Decision. "REx." refers to the Exceptions filed by all Respondents. "EEx." refers to Evergreen's separately filed Exceptions. "IEP Br." refers to the amicus curiae brief filed by nonparties Direct ChassisLink, Inc. ("DCLI"), Flexi-Van Leasing LLC, and Interpool Inc. d/b/a TRAC Intermodal ("TRAC") (collectively, the "IEPs"). The citations to the factual record follow the Initial Decision. See I.D. 62 (App'x A).

limited antitrust immunity[.]” I.D. 22; *see also* I.D. 14 (citing JSF ¶¶ 3, 6, 14). All Respondent ocean carriers are members of OCEMA and CCM, except that Wan Hai is not a member of CCM but has been a member of OCEMA since 2016, and Yang Ming is a member of CCM and was a member of OCEMA from 2000-2018. I.D. 14 (citing JSF ¶¶ 149, 163-64).

B. Chassis in Intermodal Transportation of Transoceanic Container Shipping.

Chassis are “the metal frame and wheels upon which intermodal shipping containers are mounted for movement over the road.” I.D. 2. As the “wheels of the supply chain,” chassis are a pivotal element of international maritime commerce. I.D. 2 (citing Final Report, Comm’r Carl W. Bentzel, *Assessment of P.R.C. Control of Container and Intermodal Chassis Mfg.*, at 5 (released Mar. 30, 2022) (hereinafter “P.R.C. Chassis Report”)).² “By removing or delaying the use of one component of operational equipment, the entire supply chain will slow down.” *Id.*

Financial responsibility for daily chassis charges can be divided into two types. In “store door” (or CH) movements, the ocean carrier tariff or contract includes the cost of transport of the container to the customer’s location, including chassis charges, in its rates. I.D. 2. In contrast, “port-to-port” (or MH) movements occur when the motor carrier (or in some instances, the beneficial cargo owner, “BCO,” or another party such as an NVOCC) is responsible for obtaining transportation between the port or inland terminal and the customer’s location, including arranging and paying for chassis. I.D. 2.³ “Generally, the ocean carrier is responsible for chassis used in CH, while the motor carrier is responsible for chassis used in MH” and “MH

² IMCC respectfully requests that the Commission take official notice of this and other reports and statements by the Commission, Commissioners, and/or Task Forces. 46 C.F.R. § 502.226 (limiting official notice to “matters . . . of technical or scientific facts within the general knowledge of the Commission”); *Reyn’s Pasta Bella, LLC v. Visa USA, Inc.*, 442 F.3d 741, 746 n.6 (9th Cir. 2006) (taking judicial notice of “matters of public record”).

³ A “Merchant Haulage Exception” (“MHE”) occurs when an ocean carrier secures and pays for a chassis in a MH movement. JSF ¶¶ 36, 53, 98, 113, 144, 158, 172, 187. We include MHE in CH because the competitive dynamics are identical. *Accord* IEP Br. 7.

tends to be a greater percentage of total movements as compared to CH.” I.D. 2; CSUMF ¶ 714; CX1524 (Coates Report) at *533.⁴

1. Methods of Chassis Provisioning.

There are five types of chassis provisioning relevant here. Historically, ocean carriers owned the chassis. Under this system, motor carriers had to pick up and return both chassis and containers from the ocean carrier. CSUMF ¶¶ 16-18. However, ocean carriers divested their chassis fleets to intermodal equipment providers (“IEPs”) and entered into usage agreements through which ocean carriers would pay daily rental charges. CSUMF ¶ 685.

During the 2000s, several ocean carriers merged and formed alliances, requiring chassis pools to reflect the new structures, including the transport of containers of multiple lines on the same vessel. CSUMF ¶¶ 20-21. Thus, a second chassis provisioning system arose whereby ocean carriers would cooperate by pooling available container slots and chassis. *Id.* [REDACTED]

[REDACTED]
[REDACTED]. CSUMF ¶ 22.

CCM operates regional chassis pools on behalf and under the control of OCEMA members. CSUMF ¶¶ 22-23. In CCM pools, IEPs provide chassis on behalf of their ocean carrier customers pursuant to a contract. I.D. 15-16 (citing JSF ¶ 193); CSUMF ¶¶ 31-33. CCM pools are “fully interoperable” or “gray,” i.e., multiple chassis providers contribute equipment but those chassis are commingled. CSUMF ¶¶ 31-33. A gray pool does not require matching a specific equipment provider’s chassis with a particular ocean carrier’s container. I.D. 15-16 (citing JSF ¶ 194); CSUMF ¶¶ 31-33. Rather, CCM rules establish assignment of chassis

⁴ [REDACTED] JSF ¶¶ 63-67, 125; *see also* I.D. 37, 60 (citing RSUMF ¶ 88, 91-92, 95; RSUMF/CResp ¶¶ 88, 91, 93, 95; ESUMF ¶¶ 8 11; EMSD ¶ 6). *See infra* 46-47.

“usage” to a contributor IEP, which gives that IEP the right to bill its customer for a chassis regardless of the contributor of the chassis the customer physically uses. I.D. 16 (citing Tock (CCM) Dep. at CX459, 118:25-120:8; CSUMF ¶ 36; CSUMF/RResp ¶ 36).

Under a third type of chassis provisioning, IEPs operate single-provider pools, which are not interoperable with other pools, and do not enable chassis choice in MH movements. I.D. 15 (citing JSF ¶ 192; CSUMF ¶ 42; CSUMF/RResp ¶ 42); CSUMF ¶¶ 102, 525, 666.

Under a fourth system, IEPs may separately organize interoperable chassis pools comprised of their proprietary pools, independent of direct management from ocean carriers or CCM. I.D. 17 (citing JSF ¶ 195). An example of this type is the Pool of Pools (“POP”) in Los Angeles/Long Beach (“LA/LB”). I.D. 17 (citing JSF ¶ 195); CSUMF ¶ 45.

Last, motor carriers may own or lease chassis from outside the daily-usage pool, sometimes called trucker-owned wheels (“TOW”). I.D. 55; CSUMF ¶ 51. As Respondents’ expert admits, there are only [REDACTED]

[REDACTED] CSUMF ¶ 696; Coates Dep., CX871 at 172:17-23.

When chassis are operated within a pool, the daily charges are set by the IEP via negotiated contract (between the chassis provider and the payor), or posted daily rates. I.D. 15 (citing CSUMF ¶ 42; CSUMF/RResp ¶ 42). For example, ocean carriers bargain with IEPs for lower CH costs to the ocean carrier in exchange for higher MH chassis volume and limitations on MH chassis choice. *Infra* 10-12; CSUMF ¶¶ 522-23 (Respondents’ expert confirming this); CSUMF ¶ 497 (summarizing ocean carrier-IEP contracts linking CH rates to MH volume). Ocean carriers understand this dynamic, and steer MH volume while negotiating with IEPs, knowing this will earn them a better financial bargain. [REDACTED]

[REDACTED]

[REDACTED]. When MH chassis choice is allowed, motor carriers can negotiate contracted rates for chassis. CSUMF ¶¶ 543-44.

2. The Relevant Geographic Areas.

At the Presiding Officer's suggestion, the parties focused initial discovery on four geographic regions: Chicago, Los Angeles/Long Beach, Memphis, and Savannah. *Infra* 15-16.

The Chicago region is served today only by individual proprietary pools. I.D. 17 (citing JSF ¶¶ 200, 203-04; Reitzes Report ¶ 120 at CX1675). The Chicago & Ohio Valley Consolidated Chassis Pool ("COCP"), an interoperable CCM pool, previously served the region before it closed in August 2020. I.D. 16 (citing JSF ¶¶ 203-04).

The LA/LB region is served by the POP, which is operated by three IEPs: DCLI, TRAC Intermodal, and Flexi-Van. I.D. 17-18 (citing JSF ¶ 195). Although the pool is "interoperable," meaning that a motor carrier may physically use any pool chassis, billing rights are assigned to the IEP that has a contractual relationship with the ocean carrier whose container is being moved. I.D. 18 (citing JSF ¶¶ 195, 197; CSUMF ¶ 48; CSUMF/RResp ¶ 48; CX1701 at ¶ 6; CX1703 at ¶ 6; CX1705 at ¶ 6). These rules prevent motor carriers from selecting an IEP other than the IEP designated by the ocean carrier. I.D. 18 (citing CMSD ¶ 50; CMSD/RResp ¶ 50; Coates Rebuttal Report at CX1693). The IEPs who established the POP sought and received a Business Review Letter ("BRL") from the Department of Justice. I.D. 17 (citing JSF ¶¶ 196-97). The BRL states that the IEPs represented that the POP "would have 'open participation by any other pools and third parties in the LA/LB port complex;' would 'compete openly with one another and other chassis providers;' and would 'negotiate independently with other users in the region for access to chassis.'" I.D. 54 (citing BRL at 2). Further, [REDACTED]

[REDACTED]. CSUMF ¶ 50. Despite these

representations, the POP continues to disallow MH chassis choice and participation from competing IEPs. *Id.*

The Savannah region is served primarily by a CCM interoperable gray pool, the South Atlantic Chassis Pool. I.D. 17 (citing JSF ¶¶ 200, 206; Reitzes Report ¶ 123 at CX1676).⁵

The Memphis region is served by a CCM interoperable pool, the Mid-South Consolidated Chassis Pool LLC (“MCCP”), as well as proprietary pools from DCLI and TRAC. I.D. 18 (citing JSF ¶ 200; CSMF ¶ 646; CSUMF/RResp ¶ 645 (responding to CSUMF ¶ 646)). At least two Respondent ocean carriers who are currently served by the MCCP have contracts with and/or are in negotiations with IEPs to withdraw from the MCCP and to enter proprietary pools. CSUMF ¶¶ [REDACTED], [REDACTED]. The Memphis Supply Chain Innovation Team White Paper has identified that, due to rising non-interoperability, the “result is handcuffed chassis usage” which requires “shippers and truckers to use a specific color chassis when the train arrives” such that “[s]upply is restricted and held captive to ocean carrier alignments with chassis providers that they have no part in the selection process, yet pay the cost. The result is rising costs and wasted time. Access is limited and supply is an on-going problem.” CX6147 (Memphis Supply Chain Innovation Team, *White Paper: A Single Gray Chassis Pool Fosters Fluid Commerce and Improves Supply Chain Velocity* (May 2019)) at *149 (“Memphis White Paper”). More recent Commission reports note that the “problems that exist in Memphis are worsening.” FMC Fact Finding No. 29, Final Report 26 (May 31, 2022).

⁵ The Commission has allowed the South Atlantic Multiport Chassis Agreement, FMC Agreement No. 201391, to become effective as of November 26, 2022. That agreement provides for the transition to a restructured pool at Savannah.

C. CCM Rules Affecting Interoperability and Chassis Choice.

CCM Pools offer a “Choice Program” using a “choice by exception” model in which an “ocean carrier, acting on its own, retains the ability to block a motor carrier choice request under the present rules.” I.D. 36 (citing RMSD/COpp at 10; CX2160 (“Chassis ‘Choice’ Dilemma” presentation); CSUMF ¶ 86 (referencing CCM *Choice Program* webpage, CX1992)). Under the CCM Pool Operations Manual, any ocean carrier that participates in a CCM pool is both permitted and presumed to assign chassis usage to its “default” IEP with which it has contracted. CSUMF ¶¶ 79, 84; I.D. 16 (citing CX2398, 2390).

CCMP Manual Section 5.5 (“Rule 5.5”) states:

Usage Days will be assigned by default to the User associated with the Container Line Operator for the container loaded on a Chassis, (i.e., to either the User itself or to the User for whom the Container Line Operator is a customer).

I.D. 16 (citing CX2398); *see also* CSUMF ¶ 80. “User” is defined as “an entity that has entered into a written Master Chassis Use Agreement with a pool” and “Container Line Operator” is defined as “the ocean carrier that is operating the container at the time of usage.” I.D. 16 (citing CX2390).

CCMP Manual Section 5.7 (“Rule 5.7”) states:

Notwithstanding Section 5.5, under the Choice Program, Usage Days may be directed to another User when the Container Line Operator and the User for whom the Container Line Operator is a Customer authorize a deviation from the default assignment. To utilize this program, the Container Line Operator must notify CCM that it allows exceptions: at the shipment level (based on booking or bill of lading reference); upon request and approval; based on the motor carrier (for merchant haulage moves); or for all merchant haulage moves (provided the Container Line Operator provides CCM with access to shipment data sufficient to make such assignments).

I.D. 16 (citing CX2398-99); CSUMF ¶¶ 73-86.

Thus, Operations Manual Rule 5.5 “assigns chassis charges to the ocean carriers’ preferred provider while Rule 5.7 allows choice, i.e. another provider to be utilized, but only if ocean carriers and IEPs permit the exception.” I.D. 36 (citing CX2398-99; JSF ¶¶ 200-206). This choice by exception model occurs for all movements, including MH moves which are paid by motor carriers and BCOs. I.D. 36; CSUMF ¶¶ 79, 84. As a result, “there is no genuine dispute that although Rule 5.7 allows a motor carrier to request a different chassis provider, the ocean carrier can block such a request.” I.D. 37; *see also* CSUMF ¶¶ 80, 82, [REDACTED]. Respondent ocean carriers have different policies, on paper and in practice, with respect to how often they grant exceptions to their default arrangements. *Id.*⁶

D. Respondent Ocean Carriers’ Contracts Link MH and CH Chassis to the Disadvantage of Motor Carriers and the Shipping Public.

1. Ocean Carriers Contract for Lower CH Prices Based on Higher MH Volumes.

Ocean carrier contracts with IEPs ordinarily do not expressly set MH chassis rates. But the contracts directly intertwine CH prices that IEPs offer to ocean carriers with provisions that enhance IEP pricing power over chassis used in MH movements.⁷ For example, ocean carriers agree to contract terms for which “motor carriers are limited in their ability to select other chassis providers” in MH movements. I.D. 42; CSUMF ¶ 497 (citing to numerous examples). These can include certain MH volume targets, or direct restrictions on MH chassis choice. *Id.* In exchange for these provisions, ocean carriers negotiate to receive benefits, like reduced CH rates or direct payments. *Id.*; *see also* I.D. 43 (There is “no genuine dispute that Respondent ocean

⁶ In choice by exception, the Choice Rules require the IEP approve an ocean carrier’s choice determination. CSUMF ¶¶ 75, [REDACTED].

⁷ The two exceptions are [REDACTED] and [REDACTED], which negotiate prices with IEPs for chassis in all movements. JSF ¶¶ 63-66, 125. Nonetheless, both [REDACTED] and [REDACTED] require motor carriers to pay fees for use of their designated MH chassis provider, and limit motor carrier choice away from that provider. *Infra* 46-47.

common carriers entered into chassis usage agreements providing for total chassis volumes, including both CH and MH, with CH rates calculated based on these total volumes . . . or otherwise integrate or incorporate MH volumes in the course of structuring pricing with IEPs” (citing CSUMF ¶ 497; CSUMF/RResp ¶ 496 (responding to CSUMF ¶ 497))).

Every Respondent ocean carrier engages in these “contractual linkages” between MH and CH. Some contracts provide for CH prices to increase or decrease depending on the amount of MH volume of an ocean carrier’s containers an IEP receives; i.e., when an IEP receives more of the higher-priced MH volume of the ocean carrier’s containers, the ocean carrier receives a lower CH rate in return. CSUMF ¶¶ [REDACTED]

[REDACTED] Other contracts provide for a direct payment from the IEP to the ocean carrier based on the MH volume of that ocean carrier’s containers. CSUMF ¶¶ [REDACTED]. Some ocean carrier contracts with IEPs also contain incremental revenue-sharing based on MH volume, CSUMF ¶¶ [REDACTED], or condition a discount on the CH rate based on the ocean carrier maintaining a specified MH volume, CSUMF ¶¶ [REDACTED]. Other relevant contractual provisions include providing an IEP with a right to terminate the contract based on failure to meet MH volume, CSUMF ¶ [REDACTED], requiring the ocean carrier to make efforts to generate more MH volume, CSUMF ¶ [REDACTED], or even setting the MH pricing directly in the contract, CSUMF ¶ [REDACTED].

These practices demonstrate that CH prices are subsidized by higher MH prices because lower CH prices are directly or indirectly contingent on higher expected or achieved MH volumes vis-à-vis CH volumes. CH pricing is thus the direct opposite of volume discounts, as lower CH prices result from *lower* CH volumes, not higher CH volumes.

2. Respondents Continue to Contract with POP IEPs Notwithstanding that the POP Has Never Implemented Promised Chassis Choice.

The POP is an interoperable pool comprised of the proprietary pools of the three major IEPs. JSF ¶ 195. The IEPs represented to the DOJ that the POP would “compete openly with one another and other chassis providers” and would “negotiate independently with other users in the region for access to chassis.” I.D. 54 (quoting BRL 2). The IEPs expressly [REDACTED]

[REDACTED]. CSUMF ¶ 50.⁸

Yet the POP has never allowed choice for MH movements. As a result, “motor carriers are required to pay the IEP selected by the ocean carrier, even for MH shipments where the motor carrier is being billed.” I.D. 54 (citing CX1701 ¶ 6; CX1703 ¶ 6; CX1705 ¶ 6). Thus, in the POP the “motor carrier is a captive audience which must pay the rate determined by the IEP selected by the ocean carrier, even though the motor carrier is not a party to that agreement.” I.D. 54 (citing JSF ¶¶ 195-96; CX1701 ¶ 6; CX1703 ¶ 6; CX1705 ¶ 6). Nevertheless, Respondent ocean carriers continue to renew their agreements with the IEPs regarding MH chassis, notwithstanding those IEPs’ refusal to permit the exercise of MH choice that they had promised to OCEMA members.

3. Respondents Exit Interoperable Pools.

The undisputed record demonstrates that ocean carriers have entered, currently enter, and consider entering in the future into agreements with IEPs to use their non-interoperable proprietary pools instead of interoperable CCM pools. CSUMF ¶ [REDACTED], CSUMF ¶ [REDACTED], CSUMF ¶ [REDACTED], CSUMF ¶ [REDACTED], CSUMF ¶ [REDACTED], CSUMF ¶ [REDACTED], CSUMF ¶ [REDACTED], CSUMF ¶ [REDACTED]

⁸ Pursuant to this provision, at least one ocean carrier negotiated a contract mandating MH chassis choice when it is allowed in the POP. CSUMF ¶ [REDACTED].

██████████, CSUMF ¶ ██████████. As a result, the agreements grant de facto exclusivity to a single IEP, including for MH movements, further enhancing the IEP’s pricing power for MH chassis. CSUMF ¶¶ 393-95, 497, 522-25. In exchange for this enhanced pricing power, there is “compelling evidence that ocean carriers receive discounted rates [for CH] in return for withdrawing from interoperative pools and entering proprietary pools.” I.D. 50. For example, the record demonstrates that these withdrawal decisions achieve short-term reductions in CH chassis prices and shift the burden of non-interoperability to others in the supply chain. *E.g.*, CSUMF ¶¶ ██████████; *see also* CSUMF ¶¶ 637-57.

An ocean carrier’s reliance on a proprietary pool immediately eliminates interoperability and MH chassis choice. CSUMF ¶¶ 30, ██████████ 633-35. But the effects on the supply chain are even broader: when an ocean carrier signs a contract to use an IEP’s proprietary pool, the IEP withdraws chassis from the CCM pool. CSUMF ¶ 635. And when a CCM pool no longer has sufficient chassis, the pool collapses. *Id.* ¶ 624. This dynamic caused the COCP and a CCM pool serving the Gulf Coast to cease operations in 2020. *Id.* ¶¶ 24-25, 632-35. Because of the closure of the COCP, the Chicago region is now **only** served by IEP proprietary pools where there is no interoperability and where MH chassis choice cannot be exercised. *Id.* ¶¶ 635, 639-42. Similarly, in the Memphis region, two ocean carriers have negotiated or are currently negotiating to no longer be served by the MCCP and to instead to rely on the IEPs’ proprietary pools, including delegating to the IEP the decision whether to withdraw from the MCCP. *Id.* ¶¶ ██████████, ██████████. These withdrawals would cause the MCCP to lose approximately **half** of its chassis, risking a collapse of the MCCP. *Id.* ¶ 636.

E. Harm to Motor Carriers, Shippers, and the Supply Chain.

1. Higher MH Chassis Prices.

There is no genuine dispute that the Respondents' conduct restricts motor carriers' ability to obtain MH chassis from the IEP of their choice. Indeed, in some instances, "the selected IEP [has] an exclusive right to provide chassis[.]" I.D. 37; *see also* JSF ¶¶ 195, 197; CSUMF ¶ 48 (citing IEP Declarations). This reduces or eliminates any bargaining power for MH chassis by motor carriers and BCOs. CSUMF ¶ 522 (citing Coates Report, CX1524 at *539); *see also* I.D. 46 (restrictions on choice further "limit[] the motor carriers' ability to negotiate volume discounts for itself"); I.D. 54 ("[T]he motor carrier is a captive audience which must pay the rate determined by the IEP selected by the ocean carrier.").

Thus, the contracts and the CCM rules that limit choice give IEPs an enhanced ability to raise rates for MH chassis. CSUMF ¶¶ 522-23, 525, 536-38. IEPs recognize this dynamic and enter contracts with large motor carriers in areas where choice is available. CSUMF ¶¶ 526-45, 541-44. One motor carrier negotiated rate discount agreements that targeted the ocean carriers allowing choice in Memphis (MCCP) and Savannah (SACP). CSUMF ¶¶ 543-44. And its chassis usage costs for ocean carriers that did not allow choice were priced \$ [REDACTED] higher per chassis per day than carriers that allowed choice for the very same IEP. CSUMF ¶ 544. Supply chain stakeholders have also complained about these higher MH chassis prices. CSUMF ¶ 540.

2. Loss of Interoperability.

All parties agree that interoperable gray pools have valued benefits. CSUMF ¶¶ 611-23. The undisputed evidence also shows harms on the supply chain more broadly. These injuries include fragmentation of stop/start locations (*id.* ¶¶ 612, 624, 642, 657), the need for more chassis (*id.* ¶¶ 666-68), increased chassis splits and flips (*id.* ¶¶ 56, 616, 618, 658-59, 662, 671-72, 699), greater demurrage and detention charges (*id.* ¶¶ 618, 660-61), longer terminal wait

times (*id.* ¶¶ 662, 699-700), increased repositioning requirements (*id.* ¶¶ 616, 618, 663-65), delays causing greater motor carrier and rail inefficiency (*id.* ¶¶ 616, 618, 669-72), and requiring increased BCO inventory (*id.* ¶¶ 616, 618, 673-74). *See also* Memphis White Paper, CX6147 at 147 (benefits of gray pools include “1. Adequate supply of chassis/Interoperability; 2. Quality and Safe chassis; 3. Fair Access to chassis (Choice!); and 4. Accountability of chassis supply by a single manager.”).

Respondents further agree that interoperable pools benefit the flow of container traffic because “terminals may experience increased efficiency,” and a “gray pool may be able to operate with fewer chassis than would multiple individual equipment providers operating at the same terminal,” *id.* ¶ 611(e), (f). Ocean carrier agreements with IEPs that authorize withdrawals from interoperable CCM pools, such as the COCP, eviscerated these and other benefits, and caused them to collapse. *Supra* 12-13.

The replacement of interoperable pools with proprietary pools has deprived the supply chain of these benefits, harming fluidity and efficiency, and imposing additional costs on other stakeholders. *See* Memphis White Paper, CX6147 at 149 (due to non-interoperability in Memphis, the “result is handcuffed chassis usage,” causing “rising costs and wasted time.”).

III. PROCEDURAL HISTORY

A. Preliminary Proceedings and Discovery.

IMCC filed its complaint in August 2020. Doc. 1. Respondents immediately moved to dismiss, making arguments substantially similar to those raised here, which the Presiding Officer denied in full. Doc. 17. After Judge Wirth rejected Respondents’ subsequent motion for leave to file an interlocutory appeal of that denial, the parties proceeded to discovery. Doc. 24.

Cognizant of the Commission’s accelerated schedule and per the Presiding Officer’s suggestion, the parties agreed to limit discovery to four geographic markets at this stage: the

areas surrounding Chicago, LA/LB, Savannah, and Memphis. Order at 9, Doc. 24 (Jan. 29, 2021). The central concern was to limit discovery burdens. *See* First Joint Status Report at 1-2, Doc. 38 (Mar. 1, 2021) (“the Parties . . . propose limiting certain categories of initial Party document discovery to the [four] geographic areas”).⁹ Notwithstanding, Respondents produced numerous documents, such as IEP-ocean carrier contracts, that are national or multiregional in scope. As a result, the record contains information beyond the four geographic markets.

After the close of fact and expert discovery, both sides moved for summary decision. Doc. 93, 96, 97. In addition to moving together with all other Respondents, Evergreen filed its own motion. Doc. 101. In aid thereof, the parties filed a Joint Stipulations of Fact (the “JSF”), Doc. 88; and separately, all movants submitted a series of statements of proposed uncontested material facts in support of their motions (Doc. 92, 95, 100, 122) and in opposition to the other parties’ motions (Doc. 105, 109, 113).

B. The Initial Decision.

Relying primarily on the JSF, as well as Respondents’ admissions, statements of undisputed facts, and the conclusions of their experts, the Presiding Officer’s Initial Decision granted IMCC’s motion for summary decision in part and denied Respondents’ and Evergreen’s motions in their entirety.

1. The Initial Decision Found that the Commission Has Jurisdiction over Respondents’ Practices.

Judge Wirth considered and again rejected the identical jurisdictional arguments Respondents had raised at the motion to dismiss and interlocutory appeal stages and held that the Commission has subject-matter jurisdiction to evaluate Respondents’ unreasonable practices.

⁹ This limitation for the purpose of easing burdens did not prevent the parties from seeking additional discovery to obtain full relief in this proceeding. I.D. 44.

Based on the undisputed evidence, Judge Wirth found that Respondent ocean carriers have “sought the protection and benefits of FMC-approved agreements over the last thirty years and now that regulations and practices adopted pursuant to their authority are contested, the ocean carriers claim that the FMC lacks jurisdiction. This argument is not persuasive.” I.D. 21 (citing Order Denying Interlocutory Appeal at 6). She further determined that OCEMA and CCM are under the Commission’s purview. *Id.*

Judge Wirth also found that the Complaint focused on these regulated entities’ practices, reasoning that “this case is not about regulating non-FMC-regulated providers of chassis [], just as [*California Stevedore*] was not about regulating stevedoring.” I.D. 22 (citing *California Stevedore & Ballast Co. v. Stockton Port Dist.*, 7 F.M.C. 75, 81 (FMC 1962)). Looking to Commission precedent, Judge Wirth noted that regulated carriers cannot shield their illegal conduct behind contracts with third-parties. I.D. 23 (citing *New York Shipping Ass’n v. FMC*, 854 F.2d 1338, 1371 (D.C. Cir. 1988) and *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, Dkt. 1966(I), 2022 WL 18068977 (FMC Dec. 29, 2022)). Further, the Initial Decision relied upon judicial precedents that the “Commission’s jurisdiction does not automatically stop at the port,” and that “so long as a bill of lading requires substantial carriage of goods by sea, its purpose is to effectuate maritime commerce,” falling within the FMC’s jurisdiction. I.D. 23 (citation omitted). To the extent Respondents attempt to “fashion a rule . . . that depends solely on geography, they are inconsistent with the conceptual approach [the Supreme Court’s] precedent requires.” I.D. 24 (citation omitted). After surveying the caselaw, Judge Wirth concluded that “there is no dispute that the Commission has jurisdiction over ocean common carriers and chassis used in CH” and to “the extent that Respondents have chosen to tie CH to

MH,” their “conduct and practices . . . directly and negatively impact MH,” then Respondents have invoked the Commission’s jurisdiction. *Id.*¹⁰

2. The Initial Decision Determined that Nonparty IEPs are
Not Necessary or Indispensable to the Proceeding.

Judge Wirth also rejected Respondents’ argument that the case must be dismissed for failure to join nonparty IEPs. Applying the well-established two-step analysis under Fed. R. Civ. P. 19, the Initial Decision properly determined that the Complaint requests relief only from Respondents. I.D. 27. As a result, “Respondents have offered no compelling evidence to suggest that the court would be unable to accord the complete relief requested in the absence of the IEPs.” *Id.* Of course, it is possible that a cease-and-desist order “could have an impact on ocean carrier contracts with chassis providers,” but that does not mean IEPs are “necessary.” *Id.* The Presiding Officer further found that even if the IEPs were “necessary” parties, and even if they could not be joined, the remaining Fed. R. Civ. P. 19(b) factors, “prejudice, shaping relief, adequate relief, and alternative forum” weighed “in favor of continuing the proceeding.” I.D. 28. For example, the Commission has “demonstrated [that] it is willing and able to provide relief in the form of orders that would necessarily result in the need for the regulated party to alter separate contracts.” I.D. 28-29 (citing “*50 Mile Container Rules*” *Implementation by Ocean Common Carriers Serving U.S. Atl. and Gulf Coast Ports*, 24 S.R.R. 411, 414-15, 1987 FMC LEXIS 20, at *7, *10-11 (FMC 1987)).

¹⁰ Judge Wirth did not hold that the Commission’s power is unbounded. Rather, the Commission may not have jurisdiction concerning only chassis usage between IEPs and motor carriers without the exercise of unreasonable practices by common carriers. I.D. 23.

3. The Initial Decision Found that Respondents’
Conduct Restraining MH Chassis Choice is Unreasonable.

On the merits, Judge Wirth granted summary decision to IMCC on some claims while denying others. IMCC’s motion for partial summary decision challenged as unreasonable (1) CCMP Rules 5.5 (which allows an ocean carrier to set a default IEP) and 5.7 (which gives ocean carriers a veto right over chassis choice, even for an MH movement); (2) ocean carrier contractual terms linking MH volumes with CH prices and/or other financial incentives; (3) ocean carrier contractual terms that designate a default IEP for MH movements; (4) ocean carrier contractual terms designating a proprietary chassis pool, effectively withdrawing from interoperable chassis pools; and (5) ocean carriers’ continued participation in the POP notwithstanding the POP’s failure to implement MH chassis choice.

After reviewing the record of undisputed facts, Judge Wirth granted summary decision to IMCC on claims relating to Respondents’ restriction of MH chassis choice (including via CCM rules and ocean carrier contracts), but denied summary decision on claims relating to Respondents’ establishing preferred or default IEPs and withdrawing from interoperable pools.

Judge Wirth found that Rule 5.7, Respondent ocean carriers’ contractual terms linking CH to MH, and their contracts to be served by the POP for MH movements were unreasonable. For example, Rule 5.7, which permits ocean carriers to establish chassis choice programs, “places the final decision on MH chassis provider in the hands of the regulated ocean common carrier rather than in the hands of the motor carrier who is responsible for arranging and paying for the chassis.” I.D. 42. Further, “based on the facts not in dispute,” ocean carrier contracts “link[] CH prices with MH volume” and establish “an exclusive or preferred/default chassis

provider,” which gives the designated IEP pricing power over MH chassis. I.D. 46-47.¹¹

Similarly in the POP, Judge Wirth found that Respondents’ entering into or continuing contracts with IEPs serving the POP result in denying “motor carriers the free choice of chassis provider that ocean carriers themselves have available[.]” I.D. 55.

Judge Wirth found that the practices that restrict MH chassis choice create what she terms a “mini-monopoly.” *See* I.D. 37; *id.* 39-40 (“That ocean carriers utilize chassis choice denials to enhance their negotiating position is acknowledged by their expert.”). This “essentially makes the motor carrier a captive audience for the IEP,” and “motor carriers are limited in their ability to select other chassis providers.” I.D. 42. Thus, where that “exclusive IEP arrangement has been contractually created by the ocean carrier, and where this prevents a motor carrier from using a chassis at a lower rate from an alternate chassis provider of its choice,” Judge Wirth reasoned that the “motor carrier is financially harmed and the market for chassis is restrained.” I.D. at 46-47; *see also* I.D. 39 (“[h]ealthy competition for business which is the best known insurance against such evils has been destroyed” by the challenged practices (quoting *California Stevedore*, 7 F.M.C. at 83 n.5)).

Thus, Judge Wirth found that IMCC met its *prima facie* case, shifting the burden to Respondents to offer a legitimate justification for restrictions on MH chassis choice. Looking to the undisputed factual record, Judge Wirth held Respondents did not justify those restrictions. *See* I.D. 38-41. For example, Judge Wirth ruled against Respondents’ argument that the IEP arrangements were necessary to guarantee a “[s]ufficient supply of safe chassis” for MH movements, I.D. 38, and to ensure “that [ocean carriers’] customers’ containers arrive timely and

¹¹ Because [REDACTED] restricts MH chassis choice in the same way, Judge Wirth found that slight differences in its business model were irrelevant. I.D. 60-61; *see infra* 46-47.

safely at their destination,” I.D. 46. Although these are “legitimate concern[s],” I.D. 38, in reality “motor carriers’ interests are well aligned” in this regard “as their reputation is similarly on the line where they have been hired to complete the delivery.” I.D. 38-39. Judge Wirth further noted that Respondents’ argument that motor carriers can bring their own chassis instead of utilizing daily rental pools cuts against their argument that the challenged conduct restricting choice is necessary to ensure a safe supply of chassis. I.D. 37-38. Judge Wirth also found that although ocean carriers are generally entitled to act in “their economic self-interest,” maximizing profit does not deserve deference “where those decisions harm the supply chain and violate the Shipping Act,” I.D. 41. Because Respondents’ conduct was more “restrictive than necessary” to accomplish the legitimate goals, the practices were excessive and thus unreasonable. *Id.*¹²

However, Judge Wirth denied IMCC’s motion for summary decision as to CCMP Operations Manual Rule 5.5 and contractual terms that establish default chassis providers in MH movements. I.D. 42, 48. So long as the motor carrier “is able to freely select the chassis provider of its choice for MH,” Judge Wirth held: “the assignment of a default provider where a motor carrier does not have another preference serves the interests of the shipping public by ensuring that a system is in place to efficiently assign chassis to containers.” I.D. 42.

While Judge Wirth reasoned that “it appears that IMCC may have sufficient evidence to establish that withdrawal from interoperable pools is unreasonable,” I.D. 52, she also denied IMCC’s motion for summary decision on this claim because “the facts necessary to determine reasonableness . . . are disputed.” I.D. 51. She determined that although “the Commission has the authority to prevent regulated entities from withdrawing from interoperable pools,” that

¹² The ruling as to the contractual linkages is limited to the four geographies. I.D. 42, 44.

“additional proceedings will be needed to determine any markets where this is appropriate.” I.D. 5.¹³ Judge Wirth noted that they will be the “focus [of] further proceedings.” I.D. 4.

IMCC takes no exception to the Initial Decision. Respondents “except to virtually all aspects of the” Initial Decision. REx. 2. Evergreen joins Respondents’ abundant exceptions, and further seeks reversal on the basis of its business model.

IV. LEGAL STANDARDS

The Commission reviews the Initial Decision as “it would have in making the initial decision” itself. 46 C.F.R. § 502.227(a)(6). However, the Commission generally adopts the Administrative Law Judge’s findings of fact and law where “they are well-reasoned and supported by evidence in the record.” *United Logistics (LAX) Inc. – Possible Violations of Sections 10(a)(1) and 10(b)(2)(A)*, Dkt. 13-01, 2014 WL 5316339, at *1 (FMC Feb. 6, 2014).

To prevail, a party seeking summary decision must demonstrate that “there is no genuine issue of material fact and the movant is entitled to judgment as a matter of law.” Order on Appeal at 7, *EuroUSA Shipping Inc., Tober Group Inc., and Container Innovations Inc. – Possible Violations of the Shipping Act of 1984 and the Commissioner’s Regulations at 46 C.F.R. § 515.27*, Dkt. 06-06 (FMC Dec. 18, 2008) (quoting Fed. R. Civ. P. 56(a)). On a motion for summary decision, it is insufficient for the nonmoving party “merely to reassert ultimate facts without providing any support for the contentions,” and “conclusory allegations as to ultimate facts are not adequate to defeat summary decision.” Initial Decision at 23, *Baltic Auto Shipping*

¹³ No party challenges this ruling on withdrawals. But as the issue will continue in proceedings below, the Commission may find it advisable to provide guidance as to when it may be unreasonable for ocean carriers to delegate unfettered discretion to IEPs to withdraw from interoperable pools with MH chassis choice, or to withdraw from an interoperable pool for financial benefits in other geographic areas. See I.D. 52. For example, the record demonstrates that two ocean carriers have contracts and/or are in negotiations with IEPs to withdraw from the MCCP, which IMCC asserts would be unreasonable. See CSUMF ¶¶ [REDACTED], [REDACTED].

Inc. v. Hitroniv & Empire United Lines, Dkt. No. 14-16 (ALJ Sept. 15, 2015) (citing *Gibson v. Cnty. of Washoe, Nev.*, 290 F.3d 1175, 1180 (9th Cir. 2002); *Hansen v. United States*, 7 F.3d 137, 138 (9th Cir. 1993)).¹⁴ Likewise, it is insufficient for the nonmovant to offer a “scintilla of evidence in support of the [party’s] position,” but rather there “must be evidence on which a [factfinder] could reasonably find for the” party. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 252 (1986).¹⁵ At summary decision, the Commission determines whether there is a “**genuine** dispute,” Fed. R. Civ. P. 56(a) (emphasis added), and the nonmoving party “must do more than simply show that there is some metaphysical doubt as to material facts,” *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 586 (1986). Nonmovants also “may not rely on conclusory allegations or unsubstantiated speculation.” *Fujitsu Ltd. v. Fed. Express Corp.*, 247 F.3d 423, 428 (2d Cir. 2001) (internal quotation marks and citation omitted)).

The Shipping Act provides that a “common carrier . . . may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). “Just and reasonable” means that the challenged conduct is “fit and appropriate to the end in view,” I.D. 13 (quoting Final Rule: Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29,638, 29,651 (May 18, 2020) (internal citation omitted)). Accordingly, the Commission adopts a burden-shifting framework to analyze the effects of a practice as compared to a proffered

¹⁴ The Commission is “governed by liberal evidentiary rules that create a strong presumption in favor of admitting questionable or challenged evidence.” *EuroUSA*, slip op. at 11 (citation omitted). Any evidence “which is relevant, material, reliable and probative, and not unduly repetitious or cumulative, shall be admissible.” *Id.* (citing 46 C.F.R. §502.[204]).

¹⁵ Contrary to Respondents’ contention that they are “non-movant[s],” REx. 3, the Initial Decision resolved cross-motions for summary decision from all parties. For example, Respondents affirmatively moved on the issue of liability for their practices restraining MH chassis choice. Doc. 97 at 15-21. Judge Wirth correctly based her decision on undisputed facts, including Respondents’ own evidence.

“worthy objective[.]” *Distrib. Servs., Ltd. v. Transpacific Freight Conf. of Japan*, 24 S.R.R. 714, 722, 1988 WL 340659, at *7 (FMC 1988). First, the Complainant must show substantial harm. The Complainant may meet this prima facie burden either by showing actual harms, or by identifying an inherently suspect arrangement from which harms are likely to flow. *California Stevedore*, 7 F.M.C. at 83 & n.5 (“It is not significant that these evils [of monopolistic arrangements] have not been proved to actually exist yet at Stockton. Healthy competition for business . . . has been destroyed.”). The Complainant may also meet its prima facie burden indirectly by defining a market and showing substantial harms within that market. *River Parishes Co. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 1999 WL 125991, at *24 (FMC 1999) (“before requiring [a Respondent] to justify its business decision, there must be a showing of something more than an effect on a ‘relatively tiny portion of the relevant market . . . and the minimal impact on the complaining [person] resulting from its exclusion’” (citation omitted)).

If the Complainant makes its prima facie case, the burden then shifts to the Respondent to proffer a “worthy objective[.]” *Distrib. Servs.*, 1988 WL 340659, at *7. If the Respondent identifies a cognizable justification, and demonstrates that the challenged conduct is necessary to accomplish that objective, the burden then shifts back to the Complainant, who bears the “ultimate burden” of proving unreasonableness. *All Marine Moorings, Inc. v. ITO Corp. of Baltimore*, Dkt. No. 94-10, 1995 FMC LEXIS 22, at *39 (ALJ Oct. 6, 1995), *aff’d* 1996 FMC LEXIS 68 (FMC 1996)) (citing *Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. 886, 898 (FMC 1993)). For example, if the Complainant identifies “less intrusive methods” to accomplish the objective, then the conduct is “excessive” and “unreasonable,” and violates the Shipping Act. *Distrib. Servs.*, 1988 WL 340659, at *7.

V. ARGUMENT

There is no genuine dispute as to the basic facts of the challenged conduct.¹⁶

Respondents' rules and practices benefit ocean carriers while increasing costs to motor carriers, the shipping public, and ultimately American consumers. These practices are unnecessarily restrictive to accomplish the purported goals of the procurement of chassis and interoperable chassis pools. And ocean carriers—as common carriers—have a duty to the shipping public beyond maximizing short term profits at the expense of the rest of the supply chain.

Nor can Respondents dispute the legal effect of these facts. *Distribution Services* is on all fours here. There, the Commission struck down an ocean carrier conference rule controlling reimbursement of “transshipment” services, which governed the transfer of cargo from an ocean container to an inland container at an off-port location. That rule incentivized minimizing the transportation of empty ocean carrier containers back to port, shifting the cost of transporting empty containers elsewhere. *Distribution Services*, 1988 WL 340659, at *2. Although minimizing the transportation of empty ocean containers and preventing false billing were “worthy objective[s],” the Commission found the ocean carriers’ regulations to be “excessive and thus unreasonable” because “less intrusive methods” existed to accomplish those goals. *Id.* at *7. The same analysis applies here.

¹⁶ Where Respondents have not denied the veracity of IMCC’s Statements of Undisputed Facts, they must be deemed admitted. Respondents have nominally contested nearly every fact, including that chassis are “used in receiving, handling, storing, or delivering property.” CSUMF/RResp ¶ 10. But conclusory denials are insufficient to create a “genuine dispute[.]” Fed. R. Civ. P. 56(a) (emphasis added). See, e.g., CSUMF/RResp ¶ 1 (denying *jointly stipulated* facts that “refer to information that is not material or relevant”); CSUMF/RResp ¶ 189 (denying a quote from an authenticated contract as “not material”); CSUMF/RResp. ¶ 543 (denying text of contractual term as “requir[ing] Respondents to speculate regarding the negotiations”); CSUMF/RResp ¶ [REDACTED] (denying a quote from an authenticated contract as “misstat[ing] the evidence, insofar as [the ocean carrier] did not ‘transition’ from chassis pools.”); and CSUMF/RResp ¶ [REDACTED] (denying that [REDACTED] as not admissible because it “concerns locations outside of the geographic scope of discovery”).

A. The Commission Has Jurisdiction Over All Parties and Claims.

All Respondents are FMC-regulated. No party disputes that Respondent ocean lines are common carriers. I.D. 22; JSF ¶¶ 25, 42, 58, 72, 87, 102, 117, 132, 148, 162, 176. Nor does anyone genuinely dispute that OCEMA and CCM are associations of common carriers and have filed governing agreements and minutes with the Commission. I.D. 22; JSF ¶¶ 13, 21; *see also Int'l Ass'n of NVOCCs v. Atl. Container Line*, Dkt. No. 81-5, 1990 WL 427461, at *13 (FMC Feb. 5, 1990) (“The inclusion of the conference is a recognition that the conference tariff is the target of the private complaint or Commission investigation.”).

The Commission has jurisdiction over “through transportation,” beginning when “a common carrier assumes responsibility for transportation of the cargo” and ending when “the cargo is delivered to the consignee at the place of destination contemplated by the contract of carriage.” *Dukart v. Ocean Star Int'l*, 2 F.M.C. 2d 118, 123-24 (ALJ 2020) (citing *Norfolk S. Ry. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 23-27 (2004)). The Commission’s jurisdiction implements Congressional policy under the Shipping Act of 1984 favoring the use of single intermodal bills of lading covering shipments from abroad to inland points of destination, including by defining terms such as “through rate” and “through transportation” that incorporate “modern intermodalism concepts and practices in our foreign trade.” *Mitsui O.S.K. Lines Ltd. v. Glob. Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008, at *6 (FMC Aug. 1, 2011). As the Commission noted in *Mitsui*:

The Commission also recognized its jurisdiction over through intermodal transportation in *Effective Date of Tariff Changes*, in which it stated that ‘[t]he Commission’s jurisdictional authority over the provision of through transportation ... begins at the port or point of receipt, whether the cargo is tendered directly to the ocean carrier or to another carrier under arrangement for through transport to destination.’ In the Ocean Shipping Reform Act of 1998, Congress did not override the Commission’s assertion of comprehensive intermodal jurisdiction.

Id. at *7 (citation omitted);¹⁷ *see also Distrib. Servs.*, 1988 WL 340659, at *4 (reviewing regulations and practices affecting transport and delivery of property under through rates).

The Commission’s jurisdiction similarly extends to the Respondents’ regulations and practices for the delivery and receipt of cargo at ports and inland terminals under ocean carriers’ port-to-port and inland intermodal rates and practices. The availability and use of chassis is integral to the receipt, handling, and delivery of cargo containers. *See* 85 Fed. Reg. at 29,655 (“It is undeniable that chassis availability impacts the ability of a shipper or a trucker to remove a container from a port.”); I.D. 23-24. Thus, regulations and practices affecting chassis availability and pricing for MH moves clearly are ones “relating to or connected with” such receipt, handling and delivery in connection with MH moves and so come within the Commission’s jurisdiction to enforce § 41102(c).

Respondents’ conduct both directly affects chassis uses for MH movements and intertwines MH and CH pricing to burden the former and benefit the latter. Rule 5.7 directly affects the pricing and availability of MH chassis by granting ocean carriers veto power over the ability of motor carriers to choose the chassis providers that will bill them for chassis usage. Respondent ocean carriers’ contracts with IEPs intertwine CH and MH and base CH pricing on *combined* CH and MH volumes with the result that chassis prices for CH movements are subsidized while the designated IEP can recover this subsidy from the higher prices charged to motor carriers (and their customers) for MH chassis usage. *Supra* 10-11. The Commission thus has jurisdiction to review the reasonableness of Respondent ocean carriers’ conduct that benefits

¹⁷ Respondents’ reliance on *J.M. Altieri v. Puerto Rico Ports Auth.*, 7 F.M.C. 417 (1962) is thus misplaced. That case was decided before the 1984 Act, which expanded the Commission’s jurisdiction in line with modern policy promoting intermodalism.

ocean carriers’ provision of through transportation under their store-door tariffs and service contracts while burdening shippers who obtain ocean transportation under Respondents’ port-to-port or inland intermodal tariffs and service contracts.

Moreover, the Commission’s jurisdiction covers regulations and practices that burden port and inland terminal efficiency. *See Am. Export-Isbrandtsen Lines, Inc. v. FMC*, 389 F.2d 962, 967-68 (D.C. Cir. 1968). Congress enacted a policy choice “facilitating the free flow of commerce by guaranteeing an efficient terminal system.” *Am. Export-Isbrandtsen Lines, Inc. v. FMC*, 444 F.2d 824, 829 (D.C. Cir. 1970). Accordingly, because of their impact on port and terminal efficiency, regulations and practices for chassis usage fall within the Commission’s jurisdiction. *Holt Cargo Sys., Inc. v. Delaware River Port Auth.*, Dkt. No. 96-13, 2000 WL 246442, at *33 (FMC Feb. 9, 2000) (“FMC should use its statutory authority under the reasonableness standard to further ‘an efficient terminal system.’” (citation omitted)).

Respondents, as common carriers, simply cannot contract outside the Commission’s jurisdiction. “Ocean carriers . . . do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c).” *TCW*, 2022 WL 18068977, at *3; *see also Sea-Land Serv., Inc. & Gulf of Puerto Rico Lines, Inc. – Proposed Rules on Containers*, 21 F.M.C. 1, 4 (FMC 1978) (a “common carrier [cannot] escape [the Commission’s] jurisdiction by the simple device of voluntarily . . . entering into an agreement[.]”); 85 Fed. Reg. at 29,649 n.176 (rejecting argument that “Commission probably does not have jurisdiction to mandate wholesale changes that are inconsistent with the UIIA” (internal quotation marks and citation omitted)); I.D. 23.

Respondents likewise cannot point the finger at nonparty chassis providers to evade jurisdiction. REx. 31-33. The IEPs’ compliance with the antitrust laws has no bearing on the

Respondents’ obligations under the Shipping Act: the “Commission may not in any event abandon an independent inquiry into the requirements of its own statute.” *New York Shipping Ass’n v. FMC*, 854 F.2d at 1364 (citation and quotation marks omitted). Respondents identify no conflict between the two federal policies. But even if there were, that is no basis for the Commission to “shrink from pursuing its statutory mandate.” *Id.* at 1371.

Nor does the Shipping Act insulate harms to motor carriers from review. *TCW*, 2022 WL 18068977, at *7 (expressly rejecting this argument); I.D. 25. In fact, as Judge Wirth noted, Congress recently strengthened the Commission’s role in promoting competition as a Shipping Act objective. I.D. 14. Most significantly, Congress recognized and affirmed the Commission’s determination in its *Demurrage and Detention Interpretive Statement* that motor carriers are a protected beneficiary of § 41102(c). *Compare* 85 Fed. Reg. at 29,638 (general principle of rulemaking include that “truckers should not be penalized by [unreasonable] demurrage and detention practices”) *with* Ocean Shipping Reform Act of 2022, Public Law 117-146 § 7(b)(2) (requiring Commission to promulgate rules implementing *Interpretive Statement*). *See also id.* § 5 (prohibiting retaliation or discrimination against *inter alia* a “motor carrier”); *id.* § 19 (requiring study for chassis pools “that provide service to . . . motor carriers . . . that use the chassis pools”); I.D. 3, 14. Moreover, Respondents cannot rely on *McKenna Trucking* for the proposition that truckers are not protected by § 41102(c). Rather, that case involved only a single contract between an ocean carrier and one motor carrier, in contrast to the industry-wide unreasonable practices at issue here. REx. 34 (citing *McKenna Trucking Co. v. A.P. Moller-Maersk Line*, 27 S.R.R. 1343, 1344 (ALJ 1997, Administratively Final: September 16, 1997); *see also* I.D. 24-25 (distinguishing *McKenna Trucking*).

B. The IEPs are Not Indispensable to This Action.

The IEPs are not indispensable parties to a proceeding alleging violations of the Shipping Act by ocean carriers, and thus the action may proceed without them. Respondents have not identified a single Commission authority dismissing a case for failure to join counterparties to a contract with entities that violate the Shipping Act. Nor could they—their argument flies in the face of established joinder principles.

Under the Federal Rules, joinder has a two-step process. First, the tribunal must determine if the absent parties are “necessary,” and whether joinder is feasible. Fed. R. Civ. P. 19(a)(1). Only if the absent party is necessary and joinder is not feasible does the tribunal move to the second step, “whether that person is ‘indispensable,’ that is, whether litigation can be properly pursued without the absent party.” *Hood ex rel. Mississippi v. City of Memphis*, 570 F.3d 625, 629 (5th Cir. 2009); Fed. R. Civ. P. 19(b).

Respondents cannot satisfy even the first step. As they concede, IMCC’s claims focus only on the failure of Respondents to meet their Shipping Act duties. *See* REx. 36 (“IMCC deliberately phrased and presented its claims in a manner that primarily focuses on ocean carrier Respondents”). And merely because a contractual term may be implicated does not make the counterparty necessary. I.D. 28-29 (collecting authorities). Indeed, Commission precedent directly rejects Respondents’ argument that non-regulated entities who contract with ocean carriers are necessary to the case. *Sea-Land Serv., Inc. & Gulf of Puerto Rico Lines, Inc. – Proposed Rules on Containers*, 21 F.M.C. 1, 4 (FMC 1978) (striking tariff implicating contract).

Respondents avoid these facts and instead point to the indirect “adverse[]” effects that the relief may have on contracts with third parties. REx. 39; *see also* REx. 36-37 (alleging IEP contracts are “central to this proceeding”). But that a cease-and-desist order may stop Respondents from sharing in unjust financial benefits from their unlawful conduct is not exactly

a compelling reason for the Commission to fail to enforce the Shipping Act. Indeed, the fact that Respondents and chassis providers will have to compete vigorously will benefit the entire supply chain, even if certain entities lose their unjust rents. I.D. 35 (“With the freedom to compete, however, the market may freely adjust.”).

Instead, Respondents ask the Commission to dismiss this entire matter based on the authority of a single inapposite case with dramatically different facts. REx. 39 (citing *Provident Tradesmens Bank & Tr. Co. v. Patterson*, 390 U.S. 102 (1968)). But that case arose out of a car crash in which the driver of the car was not the owner. Because the case concerned the validity of claims against the owner’s insurance policy contract, he could be assumed to be a necessary party. In contrast here, there is no argument that the absent parties (the IEPs) would be monetarily liable, directly or indirectly, for Respondents’ violations.¹⁸

Even if the IEPs were necessary parties, Respondents fail to cite any precedent stating that IEPs could not have participated in this proceeding as a party or intervenor, not just post-Initial Decision as an amicus. 46 C.F.R. § 502.68; *see also* 46 U.S.C. § 41301(a) (authorizing Commission to adjudicate controversies involving “a violation” of the Shipping Act).

Nonetheless, even if Respondents could show that the IEPs were necessary and even if they could not be joined, Respondents have failed to carry their burden at the second step, to show that the case must be dismissed. Each factor listed in Fed. R. Civ. P. 19(b) – “prejudice, shaping relief, adequate relief, and alternative forum [] weigh[s] in favor of continuing the proceeding.” I.D. 28; *see also* 7 Wright & Miller, *Federal Rules of Civil Procedure* § 1613, at p. 179 (2019) (“Joint obligors [to a contract] thus typically . . . are not deemed [indispensable]

¹⁸ Moreover, the Supreme Court found that the car owner, even if necessary, was not indispensable to the proceeding, and reversed dismissal of the case. 390 U.S. at 109-10.

under Rule 19(b)"). Commission precedent demonstrates how relief can be tailored, for example by giving ocean carriers "a reasonable amount of time to conform their [] arrangements with the requirements of the shipping laws[.]" "*50 Mile Container Rules*", 1987 FMC LEXIS 20, at *10-11, *aff'd New York Shipping Ass'n*, 854 F.2d 1338. And to the extent a contract requires a common carrier to perform contrary to its Shipping Act obligations, such a promise would be unenforceable as against public policy. Restatement (Second) Contracts § 178. Regardless, renegotiation of those contracts would not be particularly onerous—

[REDACTED]

[REDACTED]. CSupp. SUMF ¶¶ [REDACTED] ([REDACTED]). Moreover, the Commission remains the sole tribunal that can hear disputes challenging violations of the Shipping Act, and so an ordinary district or trial court would lack subject-matter jurisdiction. *See In re Vehicle Carrier Servs. Antitrust Litig.*, 846 F.3d 71, 81-82 (3d Cir. 2017).

Respondents unpersuasively attempt to distinguish "*50 Mile Container Rules*" and *Sea-Land*. REx. 40-41. Respondents first argue that the union in "*50 Mile Container Rules*" intervened before the Commission. But this merely shows that the IEPs could also have intervened to protect their interests, not that the Commission lacks jurisdiction. Further, whether the absent party is present says nothing about the Commission's ability to shape relief. Respondents also attempt to distinguish *Sea-Land*, arguing that the Commission "did not find that it had jurisdiction over the collective bargaining agreement itself." REx. 40-41 (citing 21 F.M.C. 1). But that the Commission does not interfere with labor contracts to promote the collective bargaining process makes Respondents' argument *more* specious not less because here there is no labor agreement. The Commission rejected the argument that striking a tariff was

essentially an interference with the labor contract, and allowed the parties to renegotiate a labor agreement consistent with the ocean line's common carrier obligations.

The IEPs do not suggest that they have just learned of this proceeding or that they could not have requested intervention. *See generally* IEP Br. Having elected to forgo their opportunity to build a record for their contentions, they should not be heard to complain, through a post-I.D. amicus brief, that facts outside the record they deem relevant should be considered by the Commission. In passing, the IEPs wrongfully suggest that their intervention would destroy the Commission's subject-matter jurisdiction. IEP Br. 5 n.3 (citing *Transp. Servs., Inc. v. Coex Coffee Int'l, Inc.*, Dkt. 92-38, 1992 WL 366157 (FMC Aug. 3, 1992)). However, the Commission's subject-matter jurisdiction is not limited to individual parties, it covers all controversies that implicate violations of the Shipping Act. *See Union Pac. R.R. Co. v. Bhd. of Locomotive Eng'rs and Trainmen Gen. Comm. of Adjustment, Cent. Region*, 558 U.S. 67, 71-72 (2009) (reversing dismissal for lack of jurisdiction) ("The general rule applicable to courts also holds for administrative agencies directed by Congress to adjudicate particular controversies"). The IEPs' own authority makes this point. In *Transportation Services*, the Commission dismissed a case involving a mere contract dispute (which is outside the Commission's jurisdiction), but did not question the ability of non-carriers to appear in the proceeding. 1992 WL 366157, at *4-6. Thus, non-parties may intervene to preserve their rights, even when they are not liable under the cause of action and where the tribunal's relief will be directed at those who are subject to the tribunal's jurisdiction. *E.g., Crossroads Grassroots Pol'ys Strategies v. Fed. Election Comm'n*, 788 F.3d 312, 316 (D.C. Cir. 2015) (reversing denial of motion filed by proposed intervenor-defendant against whom the FEC administrative complaint had been directed).

C. Respondents’ Practices that Restrict MH Chassis Choice are Unreasonable.

The record is undisputed that Respondents interfere with MH chassis choice. As a result, motor carriers, BCOs, and ultimately American consumers suffer the consequences, including higher MH chassis charges and diminished efficiency and fluidity in the supply chain. Because Respondents can point to no evidence how these practices are required to accomplish any worthy objective, the conduct is excessive and thus unreasonable, violating the Shipping Act.

1. The Initial Decision Correctly Found that the CCMP Operations Manual Rules Restrict MH Chassis Choice.

No party disputes that the text of Rule 5.7 gives ocean carriers the unfettered right to veto a motor carrier’s selection of MH chassis.¹⁹ *Supra* 9-10; REx. 22 (“Rule 5.7 is permissive, not prohibitive. It allows an ocean carrier to decide whether to designate open selection by motor carrier [*sic*] or not.”). Thus, the Rule is not a “Choice Program,” but rather a “Denial of Choice” program. *Supra* 9-10; I.D. 37 (“[T]here is no genuine dispute that although Rule 5.7 allows a motor carrier to request a different chassis provider, the ocean carrier can block such a request.”). This veto right distorts competition because the entity selecting the chassis (the ocean carrier) is not the same entity that pays for the chassis (the motor carrier or BCO). *Supra* 10. As a result, Rule 5.7 empowers ocean carriers to give its selected IEP pricing power over MH chassis, increasing the motor carrier’s costs over what would prevail in a market with IEP-motor carrier negotiations. *Supra* 14; *see also California Stevedore*, 7 F.M.C. at 82-83 & n.5 (similar arrangements are “likely” to be accompanied by evils including “poor service and excessive costs” and “[h]ealthy competition for business which is the best known insurance against such evils has been destroyed”).

¹⁹ Respondents contend that the I.D. found that Rule 5.5 is “unreasonable and more restrictive than necessary[.]” REx. 4. However, Judge Wirth limited this finding to only where motor carriers are not “able to freely select the chassis provider of its choice for MH.” I.D. 42.

Respondents do not contest that the CCMP Rules allow ocean carriers to reject an MH chassis choice request. Respondents argue only that some ocean carriers exercise this veto right more than others. REx. 8-9, 22. But that competition is not completely foreclosed does not save the CCMP Operations Manual Rules. *See* REx. 22 (conceding that not all requests for MH chassis choice are granted). Rather, the Rules are unreasonable because they grant every ocean carrier the authority to restrict competition in a way that is more restrictive than necessary to achieve any worthy objective. I.D. 42; *infra* 43-46 (rejecting proffered justifications).

2. The Initial Decision Correctly Determined that Ocean Carriers’ Contracts Reduce MH Price Competition in Exchange for Financial Benefits for Ocean Carriers.

Contrary to Respondents’ arguments, *e.g.*, REx. 5-6, the undisputed record sets out many examples of ocean carrier contracts that link incentives for the ocean carrier to terms that reduce MH price competition. *Supra* 10-11.²⁰ Every Respondent ocean carrier engages in these contractual practices. *See* CSUMF ¶ [REDACTED] ([REDACTED]); *id.* ¶ [REDACTED], [REDACTED] ([REDACTED]); *id.* ¶ [REDACTED], [REDACTED] ([REDACTED]); *id.* ¶ [REDACTED], [REDACTED] ([REDACTED]); *id.* ¶ [REDACTED], [REDACTED], [REDACTED] ([REDACTED]); *id.* ¶ [REDACTED] ([REDACTED]); *id.* ¶ [REDACTED] ([REDACTED]); *id.* ¶ [REDACTED] ([REDACTED]); *id.* ¶ [REDACTED], [REDACTED], [REDACTED] ([REDACTED]); *id.* ¶ [REDACTED] ([REDACTED]); *id.* ¶ [REDACTED] ([REDACTED]); *id.* ¶ [REDACTED] ([REDACTED]); *id.* ¶ [REDACTED], [REDACTED], [REDACTED] ([REDACTED]); *id.* ¶ [REDACTED] ([REDACTED]). The specific provisions of these contracts differ, but the effect is the same: “an ocean carrier contract” effectively “links CH prices with MH volume.” I.D. 46.

²⁰ Respondents (and their IEP amici) attempt to deflect attention from their violations of the Shipping Act by noting that non-party chassis provider North American Chassis Pool Cooperative, LLC (“NACPC”) will also benefit from a determination in IMCC’s favor. REx. 6 n.4; IEP Br. 8 n.4. The Complaint here was filed by IMCC, not NACPC, and while some IMCC members are members of NACPC many are not. Regardless, NACPC is irrelevant to this adjudication. As Judge Wirth found, the harm from ocean carriers’ unreasonable conduct, and the benefits of the “freedom to compete,” is and will be felt not only by all IMCC members, but also by the shipping public. I.D. 35. Respondents’ focus further disregards that an agreement filed with the Surface Transportation Board contemplates conduct they now implicitly challenge before the FMC. *See* Decision, *N. Am. Chassis Pool Coop., LLC – Pooling Application*, Docket No. MCF 21050 (STB Jan. 22, 2013); CX1995.

These contracts operate as a cross-subsidization whereby IEPs fund undercharges for CH chassis using the higher prices charged for MH chassis. Tellingly, these contracts award lower CH pricing for ocean carriers for *lower* CH volume; thus they are the opposite of volume discounts, which reward *higher* volume with lower prices. Rather, ocean carriers gain a volume discount for MH volume “and withhold” that discount for themselves. I.D. 40; *see also* CSUMF ¶¶ 496-521. The undisputed evidence demonstrates that restraints on MH chassis competition “limit[] the motor carriers’ ability to negotiate volume discounts for itself.” I.D. 46; *see also* CSUMF ¶¶ 536-45. As a result, the factual record demonstrates that motor carriers and their customers pay higher MH chassis rates than what would prevail in a market not infected with unreasonable conduct. CSUMF ¶¶ [REDACTED], 503, 521, 525-36, 540; *see also supra* 14.

3. The Initial Decision Properly Found that Respondents
Unreasonably Contract with IEPs for POP Chassis Notwithstanding
the POP’s Failure to Implement MH Chassis Choice.

When a motor carrier performs an MH movement using a POP chassis, chassis usage and billing rights are assigned to the IEP with which the ocean carrier owning the container has a contractual relationship. I.D. 54 (citing JSF ¶¶ 195-97); *supra* 12. Respondents do not dispute that the POP does not allow MH chassis choice, despite promising over eight years ago to do so. CSUMF/RRsp. ¶¶ 49-50. During that time, Respondent ocean carriers have repeatedly entered into or renewed agreements with the POP IEPs. Instead of acknowledging that fact, Respondents argue that the POP’s procedures were not developed by ocean carriers. REx. 24. This is misdirection. IMCC seeks an order that Respondent ocean carriers shall not amend, revise, extend, or continue their contracts with an IEP in the POP while MH chassis choice has not been implemented. *See* CSUMF ¶ 49 (POP usage agreement requiring IEPs to implement choice program). The Initial Decision recognizes that relief is directed to Respondents, not IEPs.

It is further distraction for the IEPs to state that there are no facts of record to support the proposition that the IEPs maintain the POP's unreasonable conduct because of the consent of the ocean carriers. Rather, the IEPs have adopted (and communicated to OCEMA members) the goal of MH chassis choice, and so it is unjust and unreasonable for the Respondent ocean carriers to continue one-on-one contracts with the IEPs so long as the IEPs fail to implement choice in the POP. Respondent ocean carriers' common carrier obligations under the Shipping Act include not creating a "commercial environment hampered by unreasonable or unjustly discriminatory practices." *Ceres Marine Terminals Inc. v. Maryland Port Admin.*, 29 S.R.R. 356, 372 (FMC 2001). Judge Wirth thus correctly held: "The Commission may require ocean carriers, as regulated entities, not to participate in contracts that undermine the efficient flow of international commerce. ... Motor carriers transporting MH shipments in LA/LB should have the right to select chassis providers of their choice." I.D. 55.

Nor can Respondents and IEPs rely on the U.S. Department of Justice Antitrust Division's Business Review Letter. IEP Br. 35. The Antitrust Division determines whether promised conduct is likely to violate the Sherman Act not the Shipping Act. Here, the IEPs' POP chassis usage agreement provides that they "[REDACTED] [REDACTED]," and advised OCEMA members of this objective. CSUMF ¶¶ 49-50. Yet they have never implemented this MH chassis choice program. *Id.* The question raised by IMCC's Motion was whether ocean carriers may continue to contract with an IEP with respect to the POP so long as it deprives the supply chain of the promised benefits of MH chassis choice. The Initial Decision appropriately determined that they may not. I.D. 54-55.

4. The Initial Decision Correctly Found Actual and Likely Harms from
Restrictions that Limit the Exercise of MH Chassis Choice.

Under the Shipping Act, a Complainant may meet its prima facie burden by showing actual **or** likely harms. *River Parishes*, 1999 WL 125991, at *25 (prima facie case determines “the degree of actual harm or harm likely to be caused”). Here, the record shows both.

Undisputed evidence shows actual harms sufficient to meet IMCC’s prima facie burden. *Supra* 14 (higher MH chassis costs). Respondents’ restriction of MH chassis choice “prevents a motor carrier from using a chassis at a lower rate from an alternate chassis provider of its choice,” and as a result “the motor carrier is financially harmed.” I.D. 46-47. Respondents and the IEPs do not challenge that their practices impose higher MH chassis rates on motor carriers. And they cannot avoid the unreasonableness of these higher prices by deflection, claiming that some motor carriers may pass on overcharges to their customers. REx. 14, 34 n.18; IEP Br. 10. The Commission has repeatedly reiterated that the Shipping Act adopts a direct purchaser rule, which prohibits such a “pass-on” defense. *TCW*, 2022 WL 18068977 at *7 (citing *In re Vehicle Carrier Servs.*, 1 F.M.C. 2d 440, 446 (FMC 2019)). *Cf. Hanover Shoe Co. v. United Shoe Mach. Corp.*, 392 U.S. 481, 488 (1968) (under antitrust laws, defendant may not raise defense that plaintiff is not harmed because it passed on overcharges).²¹ Regardless, even if motor carriers charge their customers above-cost—which companies are entitled to do in a market economy—that would mean that the shipping public is harmed more, not less.

²¹ The IEPs’ cited authorities are entirely consistent with this direct purchaser rule. *See In re Travel Agency Comm’n Antitrust Litig.*, 583 F.3d 896, 908 (6th Cir. 2009) (travel agents were not direct purchasers but rather challenged unmediated transactions between airlines and customers). Moreover, intermodal truckers who pay these overcharges are not a competitor to the ocean carriers or the IEPs, but rather their direct customer. *See* IEP Br. 9-10 & n.11 (citing ABA Section of Antitrust Law, *Antitrust Law Developments*, at 808-09 (9th ed. 2022)).

Judge Wirth also rejected Respondents’ contention that their exclusionary arrangements have any procompetitive effects. I.D. 38-42, 46; REx. 10-13; *see also* IEP Br. 19-24 (making similar argument). Rather, Respondents’ arguments ignore that the Shipping Act imposes more strenuous duties on common carriers than the antitrust laws impose on ordinary firms. For example, under the Sherman Act, a monopolist only sometimes must deal with others. *Compare Verizon Commc’ns, Inc. v. Law Offs. of Curtis V. Trinko*, 540 U.S. 398, 408 (2004) (absent “purpose to create or maintain a monopoly,” a firm generally is “free[] to exercise his own independent discretion as to parties with whom he will deal” (citation omitted)) *with Aspen Skiing Co. v. Aspen Highlands Skiing Corp.*, 472 U.S. 585, 602 (1985) (a “refusal to cooperate with rivals can constitute anticompetitive conduct,” if it is exclusionary). But the Shipping Act explicitly differs from the Sherman Act on this point, and affirmatively mandates that common carriers may **never** unreasonably refuse to deal with certain entities. *See* 46 U.S.C. §§ 41104(a)(10), 41105(1), 41105(4), 41105(5), 41105(6).

Separately, the Commission can infer likely harms from, for example, the structure of a market or an inherently suspect arrangement. *See California Stevedore*, 7 F.M.C. at 83 & n.5 (“It is not significant that these evils [of anticompetitive arrangements] have not been proved to actually exist yet at Stockton. Healthy competition . . . has been destroyed.”); *cf. also United States v. Anthem, Inc.*, 855 F.3d 345, 349 (D.C. Cir. 2017) (Plaintiffs may “establish a presumption of anticompetitive effect by showing” market structure, including “undue concentration”). Under Commission precedent, conduct by a regulated entity that “prevents [customers] from selecting [the counterparties] of their choice” is inherently suspect because it “opens the door to evils which are likely to accompany” a lack of competition “such as poor service and excessive costs.” *California Stevedore*, 7 F.M.C. at 82-83.

Thus, Judge Wirth correctly found that Respondents’ establishment of arrangements that directly restrain MH chassis choice and competition itself is sufficient to establish IMCC’s prima facie case. I.D. 38 (“As these practices are exclusive or monopolistic . . . the Respondents must justify them.”). Respondents’ conduct burdens basic interests by interfering with the ability of motor carriers and BCOs “to select the most suitable [MH chassis provider] available to work their [containers] without interference.” *Perry’s Crane Serv., Inc. v. Port of Houston Auth. of Harris Cnty., Tex.*, 16 S.R.R. 1459, 1477 (ALJ 1976) *aff’d in part* 19 F.M.C. 548 (FMC 1977). Without this freedom to compete, the market cannot work efficiently and maximize output, or grow. *See* I.D. 35 (interference with MH chassis choice “does not depend on whether or not the price for chassis will be lower or higher . . . With the freedom to compete, however, the market may freely adjust.”).

The cases that Respondents and the IEPs cite regarding market definition arise in the context of “exclusive dealing” where a **competitor** is harmed from alleged exclusion. They thus do not apply to Complainant’s prima facie showing here. REx. 10-13; IEP Br. 19-24; *see All Marine Moorings*, 1996 WL 264720; *River Parishes*, 1999 WL 125991. A common carrier restricting competition and giving pricing power to a third party is alone sufficient for a complainant to meet its prima facie case. *California Stevedore*, 7 F.M.C. at 82-83.²² This shifts the burden to the Respondent to justify the practice. *E.g., All Marine Moorings*, 1996 WL 264720, at *10 (“monopolistic practices have been deemed to be prima facie unreasonable” (citation omitted)).²³

²² Contrary to the IEPs’ suggestion, IEP Br. 23 n.16, IMCC has never referred to the challenged conduct as an illegal ‘tying’ arrangement.

²³ Similarly, Respondents and the IEPs contend that the challenged conduct is not “exclusive” because some ocean carriers sometimes allow choice within CCM pools, and motor carriers may simply choose to bring their own chassis from elsewhere. REx. 12-13; EEx. 2; IEP

For the same reason, the IEPs’ argument that the Shipping Act requires a showing of market power must also be rejected. *See* IEP Br. 20-23; *cf.* REx. 6 n.3, 13 (criticizing Initial Decision for failing “to define a product market”). Rather, the Shipping Act’s specific obligations (against imposing unjust and unreasonable practices) recognize that once a regulated entity has common carrier obligations, it must honor them. As a result, an additional market power screen is not necessary to impose liability.²⁴

Not a single case cited by the IEPs stands for the proposition that a complainant must always prove market power or define a relevant market. Rather, in the IEPs’ examples the tribunal used market definition indirectly to evaluate the degree of exclusion of the complainant-competitor, and not to evaluate market power. Each authority is distinguishable because of the relatively small competitive impact (exclusion) of the challenged arrangements, such as only within a small area within a much larger market. *See All Marine Moorings*, 1996 WL 264720, at *13 (single firm’s exclusion from South Locust Point within larger Port of Baltimore was “minimal” and thus insufficient to meet prima facie burden); *River Parishes*, 1999 WL 125991, at *25 (single firm’s exclusion in context of “entire lower Mississippi” was insufficiently minor to meet prima facie burden); *Marine Repair Servs. of Maryland v. Ports Am. Chesapeake, LLC*,

Br. 20. But total exclusion is not necessary, as Respondents’ own case demonstrates. *See* Initial Decision at 39, *R.O. White & Co. v. Port of Miami Terminal Operating Co.*, Dkt. 06-11, (ALJ July 28, 2009) (“Complainants need not show that the denial of access to the [] terminal at little or no cost totally shut them out of the relevant market.”).

²⁴ The Shipping Act breaks no new ground here; the common law has historically recognized that instrumentalities of maritime commerce, such as “public wharves” (marine terminals) and “ferries” (ocean carriers) occupy a gatekeeper position between shippers and markets, and thus have greater duties to the public. Sir Matthew Hale, “De Portibus Maris,” in *A Collection of Tracts Relative to the Law of England*, ed. Francis Hargrave (London: T. Wright, 1787), at 77-78. *See also* W.J. Novak, *New Democracy: The Creation of the Modern American State* 180-218 (2022) (surveying antimonopoly movement and evolving law regarding public utilities and common carriers during Gilded Age and Progressive Era).

Dkt. 11-11, 2013 WL 9808672, at *32-33 (ALJ Jan. 10, 2013) (single firm’s marginalization in two terminals within context of entire port of Baltimore was insufficient to meet prima facie burden); *R.O. White*, slip op. at 40-43 (choice of alternative to two stevedoring companies at terminal in context of entire South Florida market was insufficient to meet prima facie case). In contrast here, the undisputed facts show “industry-wide practices of regulated entities” stretching **at least** over four of the most important chokepoints of the U.S. supply chain. I.D. 25. There is no question that the harm to motor carriers and the supply chain when Respondents restrict motor carriers’ choice of IEPs for MH movements “rises to a significant level[.]” *River Parishes*, 1999 WL 125991, at *25.²⁵

Moreover, even antitrust law does not require market definition, which is “but a surrogate for detrimental effects.” *FTC v. Indiana Fed’n of Dentists*, 476 U.S. 447, 460-61 (1986) (citation omitted); *see also Oltz v. St. Peter’s Cmty. Hosp.*, 861 F.2d 1440, 1448 (9th Cir. 1988) (“Defining the market is not the aim of antitrust law; it merely aids the search for competitive injury.”); *accord* 2B P. Areeda & H. Hovenkamp, *Antitrust Law* ¶500 (5th ed., 2022 Cum. supp. 2015-2021).²⁶ The challenged conduct in this case *itself* directly restricts MH chassis choice, *supra* 9-12, and there are undisputed facts showing harm to motor carriers and the shipping public, *supra* 14-15. As a result, indirect evidence of market definition is not required when

²⁵ Even if market definition would be helpful to the Commission in this case (it is not), the undisputed record establishes four relevant geographic markets (CSUMF ¶ 734; CSUMF/RResp ¶ 734 (contesting only product market not geographic market)), and a relevant product market (CSUMF ¶ 681-83; CSUMF/RResp ¶¶ 681-83 (disputing fact on basis that it was formed from expert opinion)).

²⁶ Even when market definition is most useful, defining a market in the presence of monopoly power is a notoriously challenging exercise for which modern economic tools struggle to offer clear answers. *See* R. Posner, *Antitrust Law* 150 (2d ed. 2001) (considering the *Cellophane* paradox and criticizing *United States v. E.I. du Pont de Nemours & Co.*, 351 U.S. 377 (1956) (the “*Cellophane Case*”)).

there is direct evidence of actual or likely harm, such as when the challenged practices are “something akin to a monopoly” or that “competition is inadequate,” *River Parishes*, 1999 WL 125991, at *10 (internal citation omitted)

5. Respondents Have Not Met Their Burden of Proffering a Worthy Objective.

Because IMCC has met its prima facie case, the burden shifts to Respondents to justify the challenged conduct with a “worthy objective,” or legitimate “end in view.” *Distrib. Servs.*, 1988 WL 340659 at *7.²⁷ Respondents attempt to evade this responsibility by claiming that the Initial Decision “fails to specify a clear end in view.” REx. 19-20. But it is *Respondents’* obligation—not the Commission’s—to proffer a worthy objective, and then to prove that the challenged conduct is necessary to accomplish it. I.D. 33 (once “a *prima facie* case of unreasonableness is raised, the burden of producing evidence justifying the practices shifts to Respondents”); *All Marine Moorings, Inc.*, 1996 WL 264720, at *3 (same); *River Parishes*, 1999 WL 125991, at *27 (same).

A proffered “worthy objective” must be something more than a firm’s profit-maximization or “commercial convenience” alone. *Maher Terminals v. The Port Auth. of New York & New Jersey*, 34 S.R.R. 35, 60 (FMC 2015) (citing *Investigation of Free Time Practices - Port of San Diego*, 7 S.R.R. 307, 323 (FMC 1966)). The “worthy objective” must also be actual and not created post hoc in response to litigation. *Cf. United States v. Microsoft*, 253 F.3d 34, 58-59 (D.C. Cir. 2001) (per curiam) (procompetitive justification must be “nonpretextual”). Even where Respondents proffer a justification, if the Complainant can establish that the worthy

²⁷ A “worthy objective” is analogous to a “legitimate goal” under antitrust law, *i.e.*, that the restraint offers something with “procompetitive virtue—such as, for example, the creation of efficiencies in the operation of the market or the provision of goods and services.” *Indiana Fed’n of Dentists*, 476 U.S. at 459 (citation omitted).

objective can be satisfied through “less intrusive” means, the conduct is “excessive” and “unreasonable,” violating the Shipping Act. *Distrib. Servs.*, 1988 WL 340659, at *7.

Here, Respondents have not met their burden of showing that the challenged conduct is reasonably required to accomplish any proffered justification. For this reason alone, the Commission can reject Respondents’ “worthy-objective” arguments.²⁸

Despite Respondents’ failure to clearly articulate a “worthy objective,” the Initial Decision proceeded to evaluate potential justifications. For example, Respondents identified a “supply of safe chassis” as a possible “end in view.” Although adequate chassis supply is a “legitimate concern,” Respondents could not show that the challenged conduct is necessary to achieve this objective. I.D. 38-39, 46. Rather, the undisputed record evidence shows that motor carriers’ interests are “aligned” with the rest of the supply chain in ensuring a safe supply of chassis “as their reputation is similarly on the line where they have been hired to complete the delivery.” I.D. 38-39, 46; *see also* CSUMF ¶¶ 714, 739. Further, any assertion that only ocean carriers can ensure MH chassis availability flies in the face of their own filed tariffs, which note that under port-to-port arrangements, the motor carriers and BCOs have the responsibility to arrange for MH chassis. *See* CSUMF2 ¶¶ 21-25. And the undisputed record shows motor carriers contracting with chassis providers to supply chassis for MH movements. *Supra* 14.

Respondents also make passing reference to their “significant interest in ensuring that their customers’ containers arrive timely and safely at their destination . . . even those moving under MH.” I.D. 39 (citing CMSD/ROpp at 13). But again “motor carrier incentives” are “well

²⁸ The Commission should ignore the IEPs’ attempt to raise an “efficiency” justification. *See* IEPs Br. 13-17. It is Respondents’ duty to proffer a justification, not third parties’. Regardless, the argument is of no avail as the undisputed record directly demonstrates how the challenged conduct slows supply chain efficiency and fluidity, not promotes it. *Supra* 14-15 (harms to efficiency); *see also* I.D. 36, 42.

aligned with those of the ocean carriers” because a motor carrier will assess “chassis availability and safety in addition to other factors it seems as beneficial” in an MH movement. I.D. 39, 46.

Last, Respondents’ appeal makes cursory reference—for the first time—to the “administrative requirement necessary” for pool operations. REx. 23. But nowhere do Respondents identify any evidence showing that the challenged Rules are reasonably necessary to accomplishing *any* objective, much less this new “administrative requirement.” I.D. 38. Nor did Respondents articulate why a less intrusive alternative, such as a provision requiring motor carriers to give notice of a different chassis provider rather than requiring an ocean carrier’s consent, cannot address this objective. *Id.*; REx. 23.

In any event, the undisputed record evidence demonstrates that “less intrusive” alternatives exist. *Distrib. Servs.*, 1988 WL 340659, at *7. Both parties’ experts opined that less intrusive alternatives can ensure sufficient chassis for MH movements without restricting competition. CSUMF ¶¶ 681, 677-79, 736-38. Even Respondents’ own documents suggest a less intrusive alternative—MH chassis choice. In a confidential memorandum, CCM’s CEO described ocean carriers’ designation of an IEP for MH movements as “[REDACTED].” CSUMF2 ¶¶ 9-10. And he suggested a solution: that ocean carriers

[REDACTED]

Id. (emphasis added except for “[REDACTED]” which is in original). That “open choice” and competition describes what IMCC seeks in this proceeding.

The ultimate aim of the challenged conduct, as Respondents’ expert admits, is that ocean carriers “are trying to do things in their own economic self-interest.” I.D. 38 (citing Coates Dep. at CX882). But a regulated entity’s “commercial convenience” does not justify unreasonable practices that harm the rest of the supply chain. *Maier Terminals*, 34 S.R.R. at 60; I.D. 40-41.

D. Judge Wirth Correctly Held that Evergreen’s Business Model Does Not Make Its Restrictions of MH Chassis Choice Any Less Unreasonable.

In addition to filing separate Exceptions, Evergreen joined Respondents’ exceptions in full, demonstrating that its argument is not fundamentally different from other ocean carriers’. Judge Wirth correctly found that Evergreen was not entitled to summary decision because its conduct restricting MH chassis choice is similarly unreasonable. I.D. 60-61

There is no factual dispute about how Evergreen’s business operates. Evergreen does not merely offer motor carriers a “default” chassis. Rather, under Evergreen’s business model, Evergreen secures chassis for all movements, CH and MH, and then charges its customers and motor carriers various fees for their use. JSF ¶¶ 63-64. Like other ocean carriers, Evergreen classifies as MH a port-to-port (or port-to-inland terminal) movement for which the customer or motor carrier is responsible for obtaining chassis. *Id.* ¶ 63. Under Evergreen’s filed tariff rules, Evergreen provides a chassis in that MH movement. *Id.* Evergreen obtains these chassis by contracting with IEPs. RSUMF ¶ 88; RSUMF/CResp. ¶ 88. And the record further shows that Evergreen [REDACTED] [REDACTED]. See CSUMF ¶¶ 96-98.

Evergreen then assesses a Chassis Usage Charge (“CUC”) on the MH customer or motor carrier for the day of delivery of the container to the motor carrier plus four business days unless the customer uses its own chassis. JSF ¶ 63-65. Evergreen calls these four business days “free time” because there is not an *additional* per diem cost to the motor carrier. *Id.* If the chassis is

not returned within the free time, then Evergreen assesses a per diem charge until the chassis is returned, pursuant to the UIIA Agreement signed by the motor carrier and Evergreen. *Id.*

Evergreen’s conclusory statement that “the motor carrier pays nothing for the use of the chassis if . . . the chassis is returned within the free time,” EEx. 3, 5, plainly ignores this “chassis usage charge” that motor carriers’ customers must always pay in MH movements.

The only difference between Evergreen’s contracts with chassis providers and other ocean carriers is that Evergreen directly exercises MH chassis pricing power instead of delegating it to an IEP. *See* I.D. 60. Thus, Evergreen receives financial benefits because Evergreen obtains pricing from its chosen IEP based on combined CH and MH volumes. *Id.*

E. Respondents Do Not Contest that IMCC Meets the Remaining Requirements.

IMCC satisfies the remaining requirements of 46 C.F.R. § 545.4. No party questions that Respondents’ scheme “is connected with receiving, handling, storing, or delivering property.” *Id.* § 545.4(c); *see also* 85 Fed. Reg. at 29,655 (it “is undeniable that chassis availability impacts the ability of a shipper or a trucker to remove a container from a port.”). Nor is there a genuine dispute that the violations “proximate[ly] cause[d]” motor carriers’ harm, and “are occurring on a normal, customary, and continuous basis.” 46 C.F.R. § 545.4(b), (e). Here, the CCM Rules and their enforcement are clearly “normal, customary, and continuous,” and proximately cause motor carriers’ harm. *See* Initial Decision at 36, *In re Hapag-Lloyd A.G. & Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, Dkt. No. 21-09 (ALJ Apr. 22, 2022) (ocean carrier “policy” meets element). In addition, the ocean carrier contracts with IEPs are entered into and amended on an ongoing and continuous basis. *See generally* JSF ¶¶ 207-319 (contracts). Similarly, ocean carrier contracts and amendments designating and redesignating the pools from which chassis are to be provided affect the “normal [] business model” for the provision of chassis used for a Respondent’s container movements. Initial Decision at 20, *MAVL*

Capital et al. v. Marine Transport Logistics & Dmitry Alper, Dkt. No. 16-16 (ALJ Sept. 29, 2021). As a result, all of the challenged conduct happens on a “normal, customary, and continuous” basis sufficient to find a violation of the Shipping Act. 46 C.F.R. § 545.4(b).

F. IMCC Is Entitled to Relief from the Illegal Practices.

Because the unreasonable practices are ongoing, IMCC is entitled to an order requiring Respondents to cease and desist from them. *Vehicle Carrier Servs.*, 1 F.M.C. 2d at 456.

Respondents’ and the IEPs’ concerns about the scope of relief can be addressed with an order that is “tailored to the needs and facts” of this case. *Hapag-Lloyd A.G.*, slip op. at 44 (citing *In re Marcella Shipping Co. Ltd.*, 23 S.R.R. 857, 871-72, 28 F.M.C. 2d 259, 279-80 (ALJ Feb. 13, 1986, admin. final Mar. 28, 1986)). For example, IMCC seeks relief only as to Respondents, and the cease-and-desist relief may be tailored to only their unreasonable conduct – such as an order requiring Respondents to cease enforcement of all regulations, contract terms, and other practices that limit the ability of motor carriers to select the chassis provider of its choice for merchant haulage. *See* I.D. 61. This includes the relevant portions of the CCMP Rules, ocean carrier contracts with IEPs that restrict chassis choice, and continued ocean carrier contracting with the IEPs serving the POP so long as the POP does not allow MH chassis choice. I.D. 4. And contrary to Respondents’ handwringing regarding “centralized planning,” prohibiting unreasonable chassis practices by regulated entities allows the market system to flourish, just as “preventing such unjust and unreasonable practices does not constitute regulation of stevedoring.” *California Stevedore*, 7 F.M.C. at 81.²⁹ The Commission may also afford

²⁹ For the same reason, the IEPs’ contention that Judge Wirth’s rulings “dictat[e] a one-size-fits-all approach to wholly landside business activity,” must be rejected. IEP Br. 3. IMCC does not seek a single approach over all markets in the U.S. but rather that unreasonable restraints be eliminated, allowing the market to adjust to particular local conditions.

Respondents and third parties sufficient time to renegotiate illegal provisions. *See* “50 Mile Container Rules”, 24 S.R.R. at 414-15.

Similarly, the IEPs unpersuasively offer a parade of horrors to avoid Commission scrutiny of ocean carrier conduct at LA/LB. As a preliminary matter, the IEPs repeatedly identify purported facts outside the record and not subject to official notice, on which the Commission cannot base its decision. *See* 46 C.F.R. § 502.225; *id.* § 502.226 (limiting official notice); 5 U.S.C. § 556(e) (articulating the “exclusive record for decision” in the matter); *see also Camp v. Pitts*, 411 U.S. 138, 143 (1973) (final order must be “sustainable on the administrative record made”). The IEPs’ allegations lack citations that would allow the Commission to verify them, and lack ordinary indicia of credibility, such as being subject to cross-examination in a deposition. The IEPs, which resisted discovery (Doc. 47) and failed to intervene, cannot now complain that the record does not suit their needs.³⁰

Regardless, the Commission need not credit the IEPs’ fear-mongering. Nobody, not the least of which the IEPs, claims that MH chassis provisioning will stop. Rather, the IEPs complain that they will be less profitable. IEP Br. 15. Of course, chassis providers, as all companies, are entitled to earn a profit and to take administrative steps to make a pool workable. But they must do so without the benefit of Respondents’ unreasonable conduct. Absent Respondents’ restrictions on chassis choice, the market will “freely adjust.” I.D. 35. The Commission can also reject the IEPs’ argument that IMCC somehow seeks to “allow[] NACPC

³⁰ The IEPs’ suggestion that IMCC sought discovery from the IEPs to provide confidential information to NACPC is without basis. The earlier confidentiality order in place at the motion to compel IEP discovery explicitly prevented a Party from sharing any confidential information with not only third parties but with board members. *Compare* Doc. 46 ¶ 8 (p. 4), adopted Doc. 48 *with* IEP Br. 8 n.4.

to bill for the use of the IEPs' assets, without having provided the assets to properly fleet for customers as required by the pools." IEP Br. 3. IMCC seeks no such relief.³¹

Nor can the IEPs give Respondents a free pass based on the "favorable business review letter from the Department of Justice." IEP Br. 3. The BRL considered the IEPs' obligations under the antitrust laws, not Respondents' duties under the Shipping Act. Further, the BRL relied upon certain representations by the IEPs, including that the POP "would have 'open participation by any other pools and third parties in the LA/LB port complex;' would 'compete openly with one another and other chassis providers;' and would 'negotiate independently with other users in the region for access to chassis.'" I.D. 54 (citing BRL at 2). But that did not happen. The IEPs do not "compete with one another and other chassis providers," *id.* And because of Respondents' unreasonable restrictions of MH chassis choice, motor carriers are a "captive audience which must pay the rate determined by the IEP selected by the ocean carrier," I.D. 54 (citing CX1701 ¶ 6; CX1703 ¶ 6; CX1705 ¶ 6).

As a result, IMCC is entitled to a cease-and-desist order directed at Respondents.

VI. CONCLUSION

IMCC respectfully requests that the Initial Decision be affirmed in full and that the Exceptions of Respondents and of Evergreen be denied.

³¹ The IEPs concede they "own almost all [] marine intermodal chassis assets[.]" IEP Br. 1. A horizontal agreement among rival chassis providers to exclude a horizontal competitor may be a per se violation of antitrust law. *E.g., SD3 LLC v. Black & Decker (U.S.), Inc.*, 801 F.3d 412, 433 (4th Cir. 2015). But that certain conduct can also violate the antitrust laws does not mean that the Commission should "shrink from pursuing its mandate" to enforce the Shipping Act. *New York Shipping Ass'n*, 854 F.2d at 1371.

DATED: April 5, 2023

Respectfully submitted,

By: W. Stephen Cannon
W. Stephen Cannon
David D. Golden
Seth D. Greenstein
Richard O. Levine
Allison F. Sheedy
J. Wyatt Fore
Janice Johnson
Osob M. Samantar
CONSTANTINE CANNON LLP
1001 Pennsylvania Avenue, NW
Suite 1300 N
Washington, DC 20004
Phone: 202-204-3500
scannon@constantinecannon.com

Daniel Vitelli
CONSTANTINE CANNON LLP
22 Vanderbilt Ave.
New York, NY 10017
Phone: 212-350-2700

*Attorneys for Complainant
Intermodal Motor Carriers Conference of the
American Trucking Associations*

CERTIFICATE OF SERVICE

I certify that, on April 5, 2023, a true and correct copy of the foregoing Complainant's Consolidated Reply to Respondents' and Evergreen's Exceptions was filed via electronic mail with the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

Wayne R. Rohde
Christopher Raleigh
Mark Rabinowitz
Kathryn Sobotta
Cozen O'Connor
1200 Nineteenth Street, NW
Washington, D.C. 20036
wrohde@cozen.com
craleigh@cozen.com
mrabinowitz@cozen.com
ksobotta@cozen.com

Counsel for Ocean Carrier Equipment Management Association, Inc.; Consolidated Chassis Management, LLC.; CMA CGM S.A.; COSCO Shipping Lines Co. Ltd.; Hapag-Lloyd AG; HMM Company Limited; Maersk A/S; MSC Mediterranean Shipping Company S.A.; Ocean Network Express Pte. Ltd.; Wan Hai Lines Ltd.; Zim Integrated Shipping Services; and Evergreen Line Joint Service Agreement, FMC No. 011982

Deana E. Rose
Manelli Selter PLLC
1725 I Street, NW, Suite 300
Washington, D.C. 20006
drose@mdslaw.com

Counsel for Yang Ming Marine Transport Corp.

DATED: April 5, 2023

/s/ J. Wyatt Fore

J. Wyatt Fore
CONSTANTINE CANNON LLP